

Table 1: Descriptive statistics — liquid liabilities over GDP, by country (from Bua K. et al., 2025)

| Country        | Avg  | Min  | Max  | Avg 1882–1913 | Avg 1929–1971 | Avg 1974–2020 |
|----------------|------|------|------|---------------|---------------|---------------|
| Australia      | 0.59 | 0.38 | 1.22 | 0.48          | 0.56          | 0.72          |
| Canada         | 0.44 | 0.21 | 0.97 | 0.34          | 0.41          | 0.54          |
| Denmark        | 0.50 | 0.32 | 0.75 | 0.58          | 0.45          | 0.45          |
| Finland        | 0.50 | 0.24 | 0.82 | 0.50          | 0.48          | 0.51          |
| France         | 0.62 | 0.29 | 1.98 | 0.65          | 0.64          | 0.63          |
| Germany        | 0.56 | 0.22 | 1.13 | 0.60          | 0.43          | 0.64          |
| Italy          | 0.63 | 0.30 | 1.24 | 0.44          | 0.64          | 0.76          |
| Japan          | 0.74 | 0.21 | 2.03 | 0.29          | 0.64          | 1.21          |
| Netherlands    | 0.59 | 0.20 | 1.69 | 0.26          | 0.64          | 0.76          |
| Norway         | 0.60 | 0.39 | 1.11 | 0.58          | 0.62          | 0.52          |
| Portugal       | 0.51 | 0.09 | 1.17 | 0.12          | 0.51          | 0.86          |
| Spain          | 0.61 | 0.21 | 1.26 | 0.28          | 0.60          | 0.91          |
| Sweden         | 0.62 | 0.39 | 0.88 | 0.59          | 0.70          | 0.55          |
| Switzerland    | 0.93 | 0.48 | 1.62 | 0.57          | 1.01          | 1.14          |
| United Kingdom | 0.59 | 0.41 | 1.18 | 0.47          | 0.57          | 0.72          |
| United States  | 0.53 | 0.29 | 0.85 | 0.40          | 0.60          | 0.56          |

Table 2: Table 2: Descriptive statistics — liquid liabilities over GDP, by country (Replication)

| Country        | Avg  | Min  | Max  | Avg 1882–1913 | Avg 1929–1971 | Avg 1974–2020 |
|----------------|------|------|------|---------------|---------------|---------------|
| Australia      | 0.58 | 0.38 | 1.18 | 0.48          | 0.56          | 0.70          |
| Canada         | 0.43 | 0.21 | 0.76 | 0.34          | 0.41          | 0.52          |
| Denmark        | 0.49 | 0.33 | 0.75 | 0.58          | 0.45          | 0.44          |
| Finland        | 0.50 | 0.24 | 0.82 | 0.50          | 0.48          | 0.50          |
| France         | 0.66 | 0.29 | 2.26 | 0.65          | 0.64          | 0.61          |
| Germany        | 0.38 | 0.22 | 1.45 | 0.60          | 0.18          | 0.63          |
| Italy          | 0.62 | 0.30 | 0.99 | 0.45          | 0.64          | 0.75          |
| Japan          | 0.72 | 0.21 | 1.80 | 0.29          | 0.64          | 1.17          |
| Netherlands    | 0.54 | 0.20 | 1.69 | 0.26          | 0.59          | 0.75          |
| Norway         | 0.60 | 0.39 | 1.11 | 0.58          | 0.62          | 0.52          |
| Portugal       | 0.50 | 0.09 | 0.95 | 0.12          | 0.51          | 0.85          |
| Spain          | 0.60 | 0.21 | 1.09 | 0.28          | 0.60          | 0.90          |
| Sweden         | 0.62 | 0.39 | 0.84 | 0.59          | 0.70          | 0.54          |
| Switzerland    | 0.92 | 0.48 | 1.49 | 0.57          | 1.01          | 1.13          |
| United Kingdom | 0.58 | 0.41 | 1.00 | 0.47          | 0.57          | 0.70          |
| United States  | 0.53 | 0.29 | 0.85 | 0.40          | 0.60          | 0.55          |

Table 3: **Descriptive statistics — liquid liabilities over GDP, by country (from Bua K. et al., 2025)**

| Country        | Avg  | Min  | Max  | Avg 1882–1913 | Avg 1929–1971 | Avg 1974–2020 |
|----------------|------|------|------|---------------|---------------|---------------|
| Australia      | 0.52 | 0.22 | 1.22 | 0.42          | 0.52          | 0.72          |
| Canada         | 0.49 | 0.18 | 1.05 | 0.38          | 0.51          | 0.66          |
| Denmark        | 0.44 | 0.16 | 1.32 | 0.31          | 0.47          | 0.63          |
| Finland        | 0.46 | 0.14 | 1.20 | 0.29          | 0.49          | 0.70          |
| France         | 0.58 | 0.23 | 1.71 | 0.41          | 0.67          | 0.95          |
| Germany        | 0.51 | 0.07 | 1.33 | 0.33          | 0.44          | 0.76          |
| Italy          | 0.47 | 0.18 | 1.21 | 0.28          | 0.45          | 0.71          |
| Japan          | 0.65 | 0.11 | 1.80 | 0.33          | 0.54          | 1.04          |
| Netherlands    | 0.63 | 0.16 | 1.55 | 0.39          | 0.58          | 0.97          |
| Norway         | 0.41 | 0.12 | 1.07 | 0.27          | 0.40          | 0.61          |
| Portugal       | 0.38 | 0.08 | 1.10 | 0.17          | 0.33          | 0.54          |
| Spain          | 0.36 | 0.09 | 1.02 | 0.15          | 0.35          | 0.51          |
| Sweden         | 0.52 | 0.18 | 1.40 | 0.34          | 0.49          | 0.79          |
| Switzerland    | 0.60 | 0.15 | 1.62 | 0.33          | 0.57          | 0.93          |
| United Kingdom | 0.67 | 0.23 | 1.85 | 0.41          | 0.66          | 1.04          |
| United States  | 0.55 | 0.20 | 1.43 | 0.37          | 0.52          | 0.82          |

Table 4: **Descriptive statistics — market capitalization over GDP, by country (Replication)**

| Country        | Avg  | Min  | Max  | Avg 1899–1913 | Avg 1929–1971 | Avg 1974–2016 |
|----------------|------|------|------|---------------|---------------|---------------|
| Australia      | 0.42 | 0.13 | 1.40 | 0.21          | 0.29          | 0.70          |
| Canada         | 0.71 | 0.27 | 1.41 | 0.47          | 0.82          | 0.80          |
| Denmark        | 0.29 | 0.07 | 1.22 | 0.36          | 0.14          | 0.43          |
| France         | 0.37 | 0.05 | 0.97 | 0.60          | 0.26          | 0.43          |
| Germany        | 0.24 | 0.02 | 0.71 | 0.33          | 0.15          | 0.31          |
| Norway         | 0.22 | 0.03 | 0.83 | 0.23          | 0.12          | 0.31          |
| Portugal       | 0.19 | 0.00 | 0.79 | 0.08          | 0.16          | 0.25          |
| Spain          | 0.23 | 0.06 | 0.73 | 0.08          | 0.20          | 0.35          |
| Sweden         | 0.40 | 0.07 | 1.41 | 0.35          | 0.21          | 0.65          |
| Switzerland    | 0.71 | 0.16 | 2.80 | 0.34          | 0.40          | 1.31          |
| United Kingdom | 0.78 | 0.20 | 1.88 | 0.67          | 0.72          | 0.95          |
| United States  | 0.67 | 0.25 | 1.53 | 0.58          | 0.56          | 0.89          |

Table 5: **Descriptive statistics - bank credit over GDP, by country (from Bua K. et al., 2025)**

| Country        | Avg  | Min  | Max  | Avg 1882–1913 | Avg 1929–1971 | Avg 1974–2020 |
|----------------|------|------|------|---------------|---------------|---------------|
| Australia      | 0.46 | 0.16 | 1.61 | 0.40          | 0.23          | 0.79          |
| Canada         | 0.47 | 0.14 | 1.12 | 0.43          | 0.26          | 0.72          |
| Denmark        | 1.13 | 0.55 | 2.04 | 1.03          | 0.95          | 1.35          |
| Finland        | 0.44 | 0.09 | 0.99 | 0.30          | 0.34          | 0.64          |
| Germany        | 0.63 | 0.05 | 1.04 | 0.74          | 0.37          | 0.84          |
| Italy          | 0.44 | 0.13 | 1.00 | 0.21          | 0.40          | 0.68          |
| Japan          | 0.57 | 0.11 | 1.21 | 0.26          | 0.49          | 0.85          |
| Norway         | 0.72 | 0.23 | 1.50 | 0.65          | 0.54          | 0.89          |
| Sweden         | 0.68 | 0.38 | 1.30 | 0.64          | 0.48          | 0.91          |
| Switzerland    | 1.12 | 0.65 | 1.68 | 0.95          | 1.06          | 1.31          |
| United Kingdom | 0.42 | 0.14 | 1.18 | 0.26          | 0.25          | 0.75          |
| United States  | 0.42 | 0.12 | 0.70 | 0.33          | 0.34          | 0.56          |

Table 6: **Descriptive statistics - bank credit over GDP, by country (Replication)**

| Country        | Avg  | Min  | Max  | Avg 1882–1913 | Avg 1929–1971 | Avg 1974–2020 |
|----------------|------|------|------|---------------|---------------|---------------|
| Australia      | 0.44 | 0.16 | 1.61 | 0.40          | 0.23          | 0.75          |
| Canada         | 0.46 | 0.14 | 1.01 | 0.43          | 0.26          | 0.70          |
| Denmark        | 1.12 | 0.55 | 2.04 | 1.03          | 0.95          | 1.33          |
| Finland        | 0.44 | 0.09 | 0.97 | 0.30          | 0.34          | 0.63          |
| Germany        | 0.63 | 0.05 | 1.04 | 0.74          | 0.37          | 0.84          |
| Italy          | 0.43 | 0.13 | 1.00 | 0.21          | 0.40          | 0.67          |
| Japan          | 0.56 | 0.11 | 1.47 | 0.26          | 0.49          | 0.84          |
| Norway         | 0.71 | 0.23 | 1.34 | 0.65          | 0.54          | 0.87          |
| Sweden         | 0.67 | 0.38 | 1.23 | 0.64          | 0.48          | 0.90          |
| Switzerland    | 1.12 | 0.65 | 1.68 | 0.95          | 1.06          | 1.30          |
| United Kingdom | 0.42 | 0.14 | 1.18 | 0.26          | 0.25          | 0.75          |
| United States  | 0.42 | 0.12 | 0.63 | 0.33          | 0.34          | 0.55          |

Table 7: Panel Structure: Observations, Discontinuities, and Consecutive Years

| Country        | Observations | Discontinuities | Has Consecutive Years |
|----------------|--------------|-----------------|-----------------------|
| Australia      | 139          | 0               | Yes                   |
| Canada         | 139          | 0               | Yes                   |
| Denmark        | 139          | 0               | Yes                   |
| Finland        | 139          | 0               | Yes                   |
| France         | 139          | 0               | Yes                   |
| Germany        | 139          | 0               | Yes                   |
| Italy          | 139          | 0               | Yes                   |
| Japan          | 139          | 0               | Yes                   |
| Netherlands    | 139          | 0               | Yes                   |
| Norway         | 139          | 0               | Yes                   |
| Portugal       | 139          | 0               | Yes                   |
| Spain          | 139          | 0               | Yes                   |
| Sweden         | 139          | 0               | Yes                   |
| Switzerland    | 139          | 0               | Yes                   |
| United Kingdom | 139          | 0               | Yes                   |
| United States  | 139          | 0               | Yes                   |

Table 8: Variance Decomposition: Total, Between, Within, and Shares

| Variable                         | Var (Total) | Var (Between) | Var (Within) | Share Between | Share Within |
|----------------------------------|-------------|---------------|--------------|---------------|--------------|
| ln_gdppc                         | 0.8785      | 0.0980        | 0.7805       | 0.1115        | 0.8885       |
| ln_labour_productivity           | 1.1241      | 0.1079        | 1.0162       | 0.0960        | 0.9040       |
| ln_cpi                           | 18.9989     | 3.4977        | 15.5012      | 0.1841        | 0.8159       |
| ln_trade_openness                | 20.0214     | 19.6485       | 0.3729       | 0.9814        | 0.0186       |
| liquid_liabilities               | 0.0664      | 0.0125        | 0.0539       | 0.1877        | 0.8123       |
| mcap_gdp                         | 0.1390      | 0.0447        | 0.0944       | 0.3212        | 0.6789       |
| bank_loans_gdp                   | 0.1293      | 0.0602        | 0.0691       | 0.4654        | 0.5346       |
| ln_gdp_growth_5y                 | 0.0172      | 0.0002        | 0.0170       | 0.0140        | 0.9860       |
| ln_labour_productivity_growth_5y | 0.0167      | 0.0004        | 0.0163       | 0.0221        | 0.9779       |

Table 9: Summary statistics for within- and between-transformed variables

| Variable                   | n    | Mean   | SD     | Skewness | Kurtosis | z  > 3 |
|----------------------------|------|--------|--------|----------|----------|--------|
| ln_gdp_growth_5y_within    | 2144 | 0.0000 | 0.1304 | -1.1084  | 12.7469  | 37     |
| liquid_liabilities_within  | 2144 | 0.0000 | 0.2305 | 1.1249   | 6.8723   | 23     |
| ln_gdp_growth_5y_between   | 16   | 0.0956 | 0.0160 | 0.2492   | 2.9390   | 0      |
| liquid_liabilities_between | 16   | 0.6026 | 0.1175 | 1.4965   | 5.4128   | 0      |

Table 10: Verification of First-Difference Boundary Conditions

| Stacked Row | Country | Year | FD Columns at Boundary |
|-------------|---------|------|------------------------|
| 139         | Canada  | 1882 | All NaN (Correct)      |
| 278         | Denmark | 1882 | All NaN (Correct)      |
| 417         | Finland | 1882 | All NaN (Correct)      |

*Note: At each of the first three country transitions, all first-difference variables are missing, confirming that differencing is performed strictly within countries and never across individuals.*

Table 11: TWFE Transformation Diagnostics

|                                                | ln_gdp_growth_5y_twfe  | liquid_liabilities_twfe |
|------------------------------------------------|------------------------|-------------------------|
| <b>(a) Summary Statistics</b>                  |                        |                         |
| Count                                          | 2144                   | 2224                    |
| Mean                                           | $2.48 \times 10^{-18}$ | $1.08 \times 10^{-16}$  |
| Std. Dev.                                      | 0.1091                 | 0.1836                  |
| Min                                            | -0.9063                | -0.6222                 |
| 25th pct                                       | -0.0415                | -0.1271                 |
| Median                                         | -0.0023                | -0.0005                 |
| 75th pct                                       | 0.0418                 | 0.1041                  |
| Max                                            | 0.7056                 | 1.5332                  |
| <b>(b) Mean by Year (first 10 years shown)</b> |                        |                         |
| 1882                                           | $1.08 \times 10^{-16}$ | $1.08 \times 10^{-16}$  |
| 1883                                           | $1.21 \times 10^{-16}$ | $1.21 \times 10^{-16}$  |
| 1884                                           | $1.01 \times 10^{-16}$ | $1.01 \times 10^{-16}$  |
| 1885                                           | $9.37 \times 10^{-17}$ | $9.37 \times 10^{-17}$  |
| 1886                                           | $1.08 \times 10^{-16}$ | $1.08 \times 10^{-16}$  |
| 1887                                           | $1.25 \times 10^{-16}$ | $1.25 \times 10^{-16}$  |
| 1888                                           | $1.21 \times 10^{-16}$ | $1.21 \times 10^{-16}$  |
| 1889                                           | $1.42 \times 10^{-16}$ | $1.42 \times 10^{-16}$  |
| 1890                                           | $1.42 \times 10^{-16}$ | $1.42 \times 10^{-16}$  |
| 1891                                           | $9.37 \times 10^{-17}$ | $9.37 \times 10^{-17}$  |
| <b>(c) Mean by Country (all 16 countries)</b>  |                        |                         |
| Australia                                      | $7.83 \times 10^{-17}$ | $7.83 \times 10^{-17}$  |
| Canada                                         | $1.18 \times 10^{-16}$ | $1.18 \times 10^{-16}$  |
| Denmark                                        | $1.05 \times 10^{-16}$ | $1.05 \times 10^{-16}$  |
| Finland                                        | $3.15 \times 10^{-17}$ | $3.15 \times 10^{-17}$  |
| France                                         | $1.12 \times 10^{-16}$ | $1.12 \times 10^{-16}$  |
| Germany                                        | $1.13 \times 10^{-16}$ | $1.13 \times 10^{-16}$  |
| Italy                                          | $5.67 \times 10^{-17}$ | $5.67 \times 10^{-17}$  |
| Japan                                          | $1.25 \times 10^{-16}$ | $1.25 \times 10^{-16}$  |
| Netherlands                                    | $1.93 \times 10^{-16}$ | $1.93 \times 10^{-16}$  |
| Norway                                         | $1.21 \times 10^{-16}$ | $1.21 \times 10^{-16}$  |
| Portugal                                       | $7.47 \times 10^{-17}$ | $7.47 \times 10^{-17}$  |
| Spain                                          | $1.59 \times 10^{-16}$ | $1.59 \times 10^{-16}$  |
| Sweden                                         | $6.47 \times 10^{-17}$ | $6.47 \times 10^{-17}$  |
| Switzerland                                    | $1.32 \times 10^{-16}$ | $1.32 \times 10^{-16}$  |
| United Kingdom                                 | $1.18 \times 10^{-16}$ | $1.18 \times 10^{-16}$  |
| United States                                  | $1.40 \times 10^{-16}$ | $1.40 \times 10^{-16}$  |

Table 12: Descriptive Statistics of TWFE-Transformed Variables

| Variable                             | Overall Mean            | Overall SD | Between SD             | Within SD |
|--------------------------------------|-------------------------|------------|------------------------|-----------|
| $\ln(GDPGrowth_{5y})$                | $2.48 \times 10^{-18}$  | 0.1091     | $4.96 \times 10^{-18}$ | 0.1091    |
| Liquid Liabilities                   | $1.08 \times 10^{-16}$  | 0.1836     | $4.04 \times 10^{-17}$ | 0.1836    |
| $\ln(CPI)$                           | $1.92 \times 10^{-16}$  | 2.9673     | $2.13 \times 10^{-16}$ | 2.9673    |
| $\ln(LabourProductivityGrowth_{5y})$ | $1.92 \times 10^{-17}$  | 0.1052     | $8.82 \times 10^{-18}$ | 0.1052    |
| $\ln(GDPpc_{t-5})$                   | $-6.74 \times 10^{-16}$ | 0.1841     | $5.12 \times 10^{-16}$ | 0.1841    |
| Bank Loans / GDP                     | $-2.14 \times 10^{-17}$ | 0.1482     | $6.99 \times 10^{-17}$ | 0.1482    |
| Market Cap / GDP                     | $1.08 \times 10^{-17}$  | 0.1928     | 0.0042                 | 0.1927    |
| $\ln(TradeOpenness)$                 | $-3.36 \times 10^{-16}$ | 0.5240     | $6.49 \times 10^{-16}$ | 0.5240    |

Table 13: Descriptive statistics – Australia

| Variable                             | Count | Mean                    | SD                  | Var                  | Min                  | Max                 |
|--------------------------------------|-------|-------------------------|---------------------|----------------------|----------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | 4.556885548834598e-18   | 0.0928743039843614  | 0.008625636340579569 | -0.26492459146540487 | 0.2893264214219809  |
| Liquid liabilities                   | 139   | 7.827471684407578e-17   | 0.09338964212913207 | 0.00872162525700736  | -0.14654968702789306 | 0.23857116672164247 |
| $\ln(CPI)$                           | 139   | -1.7571875209894563e-17 | 1.258569345373716   | 1.5839967971144238   | -1.187955379747884   | 2.1806242876396826  |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 1.839357590400805e-17   | 0.10501064710293624 | 0.011027236004977412 | -0.38394632411803503 | 0.3407054232677361  |
| $\ln(GDPpc_{t-5})$                   | 134   | -5.037429843075337e-16  | 0.21423704979725283 | 0.045897513505830594 | -0.31467540968016827 | 0.46482194439435176 |
| Bank loans / GDP                     | 139   | -6.309900643553048e-17  | 0.22171815229591935 | 0.04915893905751649  | -0.2850209287798515  | 0.6733400626299955  |
| Market cap / GDP                     | 118   | -0.005825196372933042   | 0.12520502957090646 | 0.01567629942985156  | -0.19364576071804762 | 0.3695680452604492  |
| $\ln(Tradeopenness)$                 | 139   | -1.4696477448275453e-16 | 0.24988823430287363 | 0.06244412964300786  | -0.6826605607725549  | 0.6628062751971839  |

Table 14: Descriptive statistics – Canada

| Variable                             | Count | Mean                   | SD                  | Var                   | Min                 | Max                 |
|--------------------------------------|-------|------------------------|---------------------|-----------------------|---------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | 2.692705097038626e-18  | 0.12576178196156693 | 0.015816025802148703  | -0.3753499515203278 | 0.48138160688002934 |
| Liquid liabilities                   | 139   | 1.1821079686656343e-16 | 0.05880455608798241 | 0.0034579758167046686 | -0.256196734349582  | 0.08506811978864126 |
| $\ln(CPI)$                           | 139   | 2.3482415053222737e-16 | 1.5414826632563141  | 2.3761688011197792    | -1.4224324956602192 | 2.4338203118557233  |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 2.489190511560371e-17  | 0.1343801950745499  | 0.018058036828274084  | -0.4553933007558842 | 0.40959646885658    |
| $\ln(GDPpc_{t-5})$                   | 134   | -5.302557729552986e-16 | 0.14572547054270527 | 0.021235912764892857  | -0.2566854598406163 | 0.422505663631517   |
| Bank loans / GDP                     | 139   | -5.790731603260708e-17 | 0.09224884011780714 | 0.008509848503080744  | -0.1569086905153363 | 0.22369401457077825 |
| Market cap / GDP                     | 118   | -0.005825196372933029  | 0.2064500926484586  | 0.04262164075455714   | -0.3517211255402646 | 0.5471390552102253  |
| $\ln(Tradeopenness)$                 | 139   | -3.865812546176804e-16 | 0.23382184428380512 | 0.05467265486428      | -0.355212652273579  | 1.0431492124275934  |

Table 15: Descriptive statistics – Denmark

| Variable                             | Count | Mean                    | SD                  | Var                   | Min                  | Max                 |
|--------------------------------------|-------|-------------------------|---------------------|-----------------------|----------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | 1.2427869678639811e-18  | 0.07152639525871864 | 0.0051160252187064485 | -0.2804355511254312  | 0.2747243073760582  |
| Liquid liabilities                   | 139   | 1.0503189045914251e-16  | 0.16665344372622748 | 0.027773370305810872  | -0.3710518833907014  | 0.2922123774322378  |
| $\ln(CPI)$                           | 139   | 2.204471617241318e-16   | 1.203103272382739   | 1.4474574840180552    | -1.0112155858485865  | 1.9168014882608102  |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 1.3767646634736565e-17  | 0.07424150618600381 | 0.005511801240766442  | -0.2502889458967917  | 0.3377296569156134  |
| $\ln(GDPpc_{t-5})$                   | 134   | -3.9769182971647396e-17 | 0.08673293638290695 | 0.007522602253601385  | -0.13336510755436315 | 0.190783707798591   |
| Bank loans / GDP                     | 139   | 3.594247202023888e-18   | 0.18432346907184588 | 0.03397514125067973   | -0.2996840880786291  | 0.4224860681032818  |
| Market cap / GDP                     | 127   | 0.0027061935905752367   | 0.12600764199017614 | 0.0158779258399244    | -0.3847737822180127  | 0.35279061762043484 |
| $\ln(Tradeopenness)$                 | 139   | -5.910539843328171e-16  | 0.1782027683495057  | 0.031756226647427596  | -0.47994100038193466 | 0.3641689414363478  |

Table 16: Descriptive statistics – Finland

| Variable                             | Count | Mean                    | SD                   | Var                   | Min                  | Max                 |
|--------------------------------------|-------|-------------------------|----------------------|-----------------------|----------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | -4.9711478714559245e-18 | 0.07961801794744694  | 0.006339028781879983  | -0.3494401687709707  | 0.30591835217861013 |
| Liquid liabilities                   | 139   | 3.154950321776524e-17   | 0.13244822223032432  | 0.01754253157197338   | -0.2515964166244756  | 0.3480889667317837  |
| $\ln(CPI)$                           | 139   | 3.52236225798341e-16    | 0.4879629330777144   | 0.23810782405780598   | -0.7038093753382442  | 1.07371711075578    |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 1.5199481884749168e-17  | 0.061432840544109676 | 0.0037739938973180053 | -0.2666794007918231  | 0.18120003341984392 |
| $\ln(GDPpc_{t-5})$                   | 134   | -1.7365876564286031e-15 | 0.18747291425386078  | 0.035146093578835434  | -0.49962207929180735 | 0.2565200663120226  |
| Bank loans / GDP                     | 139   | -8.66612936487982e-17   | 0.08019443964586906  | 0.006431148150114935  | -0.20550188890620213 | 0.14811804392568279 |
| Market cap / GDP                     | 0     |                         |                      |                       |                      |                     |
| $\ln(Tradeopenness)$                 | 139   | -2.9392954896550907e-16 | 0.6589790453852993   | 0.4342533822569204    | -1.4002509591335643  | 0.7939887342558904  |

Table 17: Descriptive statistics – France

| Variable                             | Count | Mean                   | SD                  | Var                  | Min                  | Max                 |
|--------------------------------------|-------|------------------------|---------------------|----------------------|----------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | -1.159934503397157e-17 | 0.1374548277720266  | 0.0188938296778375   | -0.638103327603033   | 0.6174004394482859  |
| Liquid liabilities                   | 139   | 1.118210240629654e-16  | 0.2980334066479119  | 0.08882391147815963  | -0.28014449819526754 | 1.5332441011228415  |
| $\ln(CPI)$                           | 139   | 3.5143750419789126e-16 | 0.6746848804243376  | 0.4551996878732028   | -1.7171902441899092  | 0.6740029326440384  |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 2.1587669923266933e-17 | 0.136912881966328   | 0.018745137248325664 | -0.708151643511477   | 0.46681788383389283 |
| $\ln(GDPpc_{t-5})$                   | 134   | -3.844354353925915e-16 | 0.11296989470623321 | 0.012762197109937418 | -0.5710638037930664  | 0.1629450502953702  |
| Bank loans / GDP                     | 0     |                        |                     |                      |                      |                     |
| Market cap / GDP                     | 127   | 0.0027061935905752384  | 0.18294349357070677 | 0.03346832183985523  | -0.3429450006170003  | 0.4288262670603465  |
| $\ln(Tradeopenness)$                 | 139   | -2.428113665367249e-16 | 0.15685362327112498 | 0.02460305913328     | -0.5059736523874339  | 0.3522600737535795  |

Table 18: Descriptive statistics – Germany

| Variable                             | Count | Mean                    | SD                  | Var                  | Min                 | Max                 |
|--------------------------------------|-------|-------------------------|---------------------|----------------------|---------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | -2.071311613106635e-18  | 0.17900167925589044 | 0.03204160117642868  | -0.9062591614827833 | 0.42673698920800546 |
| Liquid liabilities                   | 139   | 1.1341846726386492e-16  | 0.21956712668592687 | 0.04820972312111386  | -0.622170207460727  | 0.5574339439316006  |
| $\ln(CPI)$                           | 139   | -2.68370457751117e-16   | 10.924556070863238  | 119.34592534543484   | -17.063675508573123 | 8.453864311732236   |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 3.3042351923367752e-18  | 0.15362608496075505 | 0.02360097398036913  | -0.7542051149329866 | 0.25389452858018274 |
| $\ln(GDPpc_{t-5})$                   | 134   | -1.140049911853892e-15  | 0.13097117419535018 | 0.017153448470108763 | -0.6360807058990563 | 0.35515889093176156 |
| Bank loans / GDP                     | 139   | -1.2739609527173559e-16 | 0.20121112717621087 | 0.040485917699521305 | -0.4766778636240838 | 0.3383252714948304  |
| Market cap / GDP                     | 127   | 0.002706193590575211    | 0.14652107445207274 | 0.021468425258589843 | -0.4214330542438628 | 0.2781960073010721  |
| $\ln(Tradeopenness)$                 | 139   | -1.5335454728635257e-16 | 1.5414280205261501  | 2.3760003424631657   | -1.6751761487487355 | 6.597191079486783   |

Table 19: Descriptive statistics – Italy

| Variable                             | Count | Mean                    | SD                  | Var                  | Min                  | Max                 |
|--------------------------------------|-------|-------------------------|---------------------|----------------------|----------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | -7.249590645873223e-19  | 0.10183071221816653 | 0.010369493950859052 | -0.5105398175471108  | 0.471064841929302   |
| Liquid liabilities                   | 139   | 5.670923363193246e-17   | 0.11811973831053674 | 0.01395227257854968  | -0.3379271678954633  | 0.30887719351459364 |
| $\ln(CPI)$                           | 139   | 1.2460056967016144e-16  | 1.1193922998820343  | 1.2530391210351903   | -2.0708742864425123  | 1.324507170225401   |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 2.3570211038668997e-17  | 0.10391405570086278 | 0.010798130972202013 | -0.4153261272770176  | 0.4847211298782323  |
| $\ln(GDPpc_{t-5})$                   | 134   | 1.4582033756270713e-16  | 0.12484938797109071 | 0.015587369676755931 | -0.6085296033857084  | 0.16066330711844934 |
| Bank loans / GDP                     | 139   | -5.9904120033731465e-18 | 0.13267752405276867 | 0.01760332538877301  | -0.24302300569795543 | 0.29636649480228017 |
| Market cap / GDP                     | 0     |                         |                     |                      |                      |                     |
| $\ln(Tradeopenness)$                 | 139   | -1.2779545607196046e-16 | 0.2592295094061738  | 0.06719993854696553  | -0.7845528675787206  | 0.550141851078835   |

Table 20: Descriptive statistics – Japan

| Variable                             | Count | Mean                    | SD                  | Var                  | Min                  | Max                 |
|--------------------------------------|-------|-------------------------|---------------------|----------------------|----------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | -3.7283609035919436e-18 | 0.15442015825073233 | 0.02384558527418122  | -0.6419586299061097  | 0.3151296890885137  |
| Liquid liabilities                   | 139   | 1.2539929127061122e-16  | 0.308206965268013   | 0.09499153343971817  | -0.37771703388684874 | 0.7626419809488446  |
| $\ln(CPI)$                           | 139   | 1.7731619529984515e-16  | 1.4354005945242634  | 2.0603748667606085   | -2.7190343094366196  | 1.7004967581834958  |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 3.810884588495081e-17   | 0.14328021709339983 | 0.020529220610331782 | -0.5979728769869406  | 0.24448391629589533 |
| $\ln(GDPpc_{t-5})$                   | 134   | -3.3140985809706167e-16 | 0.29954326869547643 | 0.08972616982077038  | -0.5496481082814704  | 0.5183957505823447  |
| Bank loans / GDP                     | 139   | 1.118210240629654e-17   | 0.17066227444615628 | 0.029125611919135166 | -0.27294731848515363 | 0.3919972028222117  |
| Market cap / GDP                     | 0     |                         |                     |                      |                      |                     |
| $\ln(Tradeopenness)$                 | 139   | -2.396164801349259e-15  | 0.4428807266171512  | 0.19614333800893585  | -1.908513828990774   | 1.123310275362253   |

Table 21: Descriptive statistics – Netherlands

| Variable                             | Count | Mean                    | SD                  | Var                  | Min                 | Max                 |
|--------------------------------------|-------|-------------------------|---------------------|----------------------|---------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | 4.453319968179266e-18   | 0.13108149816103082 | 0.01718235916014033  | -0.6897307138409532 | 0.7055552647536201  |
| Liquid liabilities                   | 139   | 1.932906273088402e-16   | 0.19842105179748618 | 0.039370913796420694 | -0.2660350960153123 | 0.9149996396333263  |
| $\ln(CPI)$                           | 139   | 5.878590979310181e-16   | 1.462740387614113   | 2.1396094415574853   | -1.4628733052180847 | 2.3636014402506893  |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 1.696174065399545e-17   | 0.1449982886723314  | 0.021024503717904743 | -0.7599000631002122 | 0.6881431413451622  |
| $\ln(GDPpc_{t-5})$                   | 134   | -1.3521522210360115e-15 | 0.14679879220719444 | 0.021549885393491054 | -0.6326057977387158 | 0.25016469234332384 |
| Bank loans / GDP                     | 0     |                         |                     |                      |                     |                     |
| Market cap / GDP                     | 0     |                         |                     |                      |                     |                     |
| $\ln(Tradeopenness)$                 | 139   | -2.3003182092952884e-16 | 0.4504778533274777  | 0.2029302963385325   | -1.9155444767986514 | 0.6240498532559577  |



Table 22: Descriptive statistics – Norway

| Variable                             | Count | Mean                   | SD                  | Var                   | Min                  | Max                 |
|--------------------------------------|-------|------------------------|---------------------|-----------------------|----------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | 7.870984129805214e-18  | 0.08336718552043058 | 0.006950087621597891  | -0.2119692055703301  | 0.23680225190070547 |
| Liquid liabilities                   | 139   | 1.2060696166791268e-16 | 0.182019033173147   | 0.03313092843728719   | -0.380413234411085   | 0.5504697208290599  |
| $\ln(CPI)$                           | 139   | 3.769965954122834e-16  | 1.2362087692292865  | 1.528212121119387     | -1.0589644178752247  | 1.9484840804895538  |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 2.9738116731030977e-18 | 0.05622323432981823 | 0.0031610520785056513 | -0.13152096307382222 | 0.17106145067687678 |
| $\ln(GDPpc_{t-5})$                   | 134   | -9.279476026717726e-17 | 0.25933911875237514 | 0.06725677851525855   | -0.33077019201734714 | 0.6517307057280597  |
| Bank loans / GDP                     | 139   | 1.3977628007870675e-17 | 0.12073908179238442 | 0.014577925872068093  | -0.22411648704301945 | 0.4117981968937139  |
| Market cap / GDP                     | 127   | 0.0027061935905752007  | 0.1331176693598002  | 0.017720313895785093  | -0.514585939874668   | 0.339634882578831   |
| $\ln(Tradeopenness)$                 | 139   | -2.492011393403229e-16 | 0.16681733655504327 | 0.02782802377531858   | -0.4455884751447843  | 0.5468897711956986  |

Table 23: Descriptive statistics – Portugal

| Variable                             | Count | Mean                    | SD                  | Var                  | Min                  | Max                 |
|--------------------------------------|-------|-------------------------|---------------------|----------------------|----------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | -1.4499181291746447e-18 | 0.0789513941844209  | 0.006233322643663812 | -0.16299572753875613 | 0.2095620838623074  |
| Liquid liabilities                   | 139   | 7.46804696420519e-17    | 0.24421448469141344 | 0.0596407145330926   | -0.3596240935929452  | 0.388084999502851   |
| $\ln(CPI)$                           | 139   | 1.0702869446026689e-16  | 0.6714129758552887  | 0.45079538414685455  | -0.9960769242012293  | 1.0796617406831053  |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 1.4758917192437597e-17  | 0.06957134708849487 | 0.004840172335707823 | -0.18868057948307032 | 0.16244869578524168 |
| $\ln(GDPpc_{t-5})$                   | 134   | -4.904865899836513e-16  | 0.16929545894554432 | 0.028660952419582483 | -0.2605476005142968  | 0.30932301265433537 |
| Bank loans / GDP                     | 0     |                         |                     |                      |                      |                     |
| Market cap / GDP                     | 127   | 0.002706193590575204    | 0.1756409667115761  | 0.030849749187376985 | -0.5112133311539983  | 0.6898285349398757  |
| $\ln(Tradeopenness)$                 | 139   | -1.5974432008995057e-16 | 0.6603390110488789  | 0.4360476095130114   | -1.2966965919789804  | 0.9186142783700211  |

Table 24: Descriptive statistics – Spain

| Variable                             | Count | Mean                    | SD                  | Var                  | Min                  | Max                 |
|--------------------------------------|-------|-------------------------|---------------------|----------------------|----------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | 2.0713116131066353e-19  | 0.11187466482285363 | 0.012515940629225843 | -0.5063660731023196  | 0.2794316629120146  |
| Liquid liabilities                   | 139   | 1.5894559848950083e-16  | 0.19238747896457528 | 0.03701294206234489  | -0.3418607808096249  | 0.383467886501042   |
| $\ln(CPI)$                           | 139   | 3.785940386131829e-16   | 0.7469126066699138  | 0.5578784420024453   | -1.3282217934864948  | 0.9765340937324372  |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 2.6213599192538418e-17  | 0.10704865884701803 | 0.011459415360945252 | -0.3874619170105528  | 0.277105758634812   |
| $\ln(GDPpc_{t-5})$                   | 134   | -1.1533063061777745e-15 | 0.16541409918828565 | 0.027361824210272005 | -0.44944177994379864 | 0.24175966215200617 |
| Bank loans / GDP                     | 0     |                         |                     |                      |                      |                     |
| Market cap / GDP                     | 118   | -0.005825196372933035   | 0.12103246271398074 | 0.01464885703061114  | -0.2784354825289327  | 0.2885171110956591  |
| $\ln(Tradeopenness)$                 | 139   | -1.6932897929534762e-16 | 0.5058963835778634  | 0.2559311509171606   | -1.0124958591688222  | 0.816781559076925   |

Table 25: Descriptive statistics – Sweden

| Variable                             | Count | Mean                   | SD                  | Var                   | Min                  | Max                 |
|--------------------------------------|-------|------------------------|---------------------|-----------------------|----------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | 7.663852968494551e-18  | 0.06361508481447734 | 0.004046879015953145  | -0.11377828537939505 | 0.2353414626320634  |
| Liquid liabilities                   | 139   | 6.469644963642999e-17  | 0.16134444060970493 | 0.0260320285156586    | -0.3002445447537083  | 0.23159090345968025 |
| $\ln(CPI)$                           | 139   | 3.0670909457270513e-16 | 1.2805949219244743  | 1.6399233540587508    | -1.0723454492209314  | 2.012897274724564   |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 1.2005387865490285e-17 | 0.05954676747483308 | 0.0035458175167018395 | -0.16382421428598676 | 0.18347881449043552 |
| $\ln(GDPpc_{t-5})$                   | 134   | -7.68870870785183e-16  | 0.1739132072030555  | 0.03024580363965292   | -0.35532057714071996 | 0.32874852657031894 |
| Bank loans / GDP                     | 139   | -2.396164801349259e-18 | 0.08492239647707077 | 0.007211813423408803  | -0.1821990818892184  | 0.19872181481220097 |
| Market cap / GDP                     | 127   | 0.0027061935905752     | 0.1349097646128337  | 0.018200644587890193  | -0.20189615319065546 | 0.405471972079155   |
| $\ln(Tradeopenness)$                 | 139   | -1.948880705097397e-16 | 0.1953190705365801  | 0.038149539315273547  | -0.8908895120721398  | 0.3304245089047715  |

Table 26: Descriptive statistics – Switzerland

| Variable                             | Count | Mean                    | SD                  | Var                  | Min                  | Max                 |
|--------------------------------------|-------|-------------------------|---------------------|----------------------|----------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | 4.14262322621327e-18    | 0.07958374516740532 | 0.00633357249487051  | -0.23935534038073902 | 0.22733237208069682 |
| Liquid liabilities                   | 139   | 1.321884248744341e-16   | 0.15595578810766358 | 0.02432220784428246  | -0.366671441949622   | 0.3218664722054435  |
| $\ln(CPI)$                           | 139   | 1.916931841079407e-16   | 1.724680450056228   | 2.9745226548061536   | -2.0409155011740894  | 2.5940990275577374  |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 1.5089340711671273e-17  | 0.08628830555683503 | 0.007445671675869728 | -0.12257956635357782 | 0.35381587684447063 |
| $\ln(GDPpc_{t-5})$                   | 134   | -9.014348140240077e-16  | 0.09988655838888058 | 0.00997732454677525  | -0.1656369747011457  | 0.18474647191488636 |
| Bank loans / GDP                     | 139   | 1.425718056802809e-16   | 0.1626506514103951  | 0.026455234404225855 | -0.27889921751391067 | 0.5490495633987106  |
| Market cap / GDP                     | 127   | 0.0027061935905751872   | 0.43841329439623544 | 0.1922062167033602   | -0.35181589731942253 | 1.4265766439028522  |
| $\ln(Tradeopenness)$                 | 139   | -2.5878579854571996e-16 | 0.27230211860997916 | 0.07414844379948315  | -0.38533808050553775 | 1.144952364104923   |

Table 27: Descriptive statistics – United Kingdom

| Variable                             | Count | Mean                    | SD                  | Var                  | Min                  | Max                 |
|--------------------------------------|-------|-------------------------|---------------------|----------------------|----------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | 1.2427869678639811e-18  | 0.07614569072892657 | 0.005798166216585335 | -0.24627719379267926 | 0.23256799448722026 |
| Liquid liabilities                   | 139   | 1.1781143606633856e-16  | 0.0941259130147984  | 0.008859687500869396 | -0.21974106499474622 | 0.1745220698034926  |
| $\ln(CPI)$                           | 139   | -4.313096642428666e-17  | 1.1572947385900818  | 1.3393311119682858   | -1.0639361185699094  | 1.8365522352451904  |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 2.5112187461759493e-17  | 0.07078672715759708 | 0.005010760741684091 | -0.18805934720731626 | 0.2439311702240648  |
| $\ln(GDPpc_{t-5})$                   | 134   | -1.0074859686150674e-15 | 0.2769042537889998  | 0.07667596576644282  | -0.4330365774272078  | 0.40183053231725196 |
| Bank loans / GDP                     | 139   | 2.396164801349259e-18   | 0.12101728072837915 | 0.014645182234891328 | -0.23559916633609745 | 0.30989352265068115 |
| Market cap / GDP                     | 127   | 0.0027061935905752003   | 0.15954338824343484 | 0.025454092732195385 | -0.37010047520797396 | 0.5011788557161789  |
| $\ln(Tradeopenness)$                 | 139   | -7.444085316191697e-16  | 0.2644108291361394  | 0.0699130865644607   | -0.46683773395573436 | 0.4727782866013044  |

Table 28: Descriptive statistics – United States

| Variable                             | Count | Mean                   | SD                  | Var                  | Min                  | Max                 |
|--------------------------------------|-------|------------------------|---------------------|----------------------|----------------------|---------------------|
| $\ln(GDPgrowth_{5y})$                | 134   | 3.3140985809706165e-18 | 0.1084930761154622  | 0.011770747564995476 | -0.28305167373056356 | 0.4724782429755353  |
| Liquid liabilities                   | 139   | 1.3977628007870675e-16 | 0.1066018510087435  | 0.011363954638490348 | -0.24294597022822229 | 0.15834262207682104 |
| $\ln(CPI)$                           | 139   | -6.549517123687974e-17 | 1.5629182050803159  | 2.4427133157714764   | -1.5324582810856469  | 2.4874241629630283  |
| $\ln(Labourproductivitygrowth_{5y})$ | 126   | 2.368035221174689e-17  | 0.09870545212083726 | 0.009742766278378896 | -0.261312624349579   | 0.3533148879893015  |
| $\ln(GDPpc_{t-5})$                   | 134   | -5.037429843075337e-16 | 0.19796484164631098 | 0.03919007852804898  | -0.32932225168574014 | 0.4540101531517795  |
| Bank loans / GDP                     | 139   | -8.586257204834843e-17 | 0.13020233716596757 | 0.016952648603480298 | -0.3173527314643665  | 0.1772542462254439  |
| Market cap / GDP                     | 118   | -0.00582519637293307   | 0.1288742113210747  | 0.01660856234362902  | -0.2475941683214019  | 0.44764712027101644 |
| $\ln(Tradeopenness)$                 | 139   | 9.361017157271105e-16  | 0.2672412358158065  | 0.07141787812035949  | -0.5959355153233554  | 0.5632579750927578  |

Table 29: Correlation Table for each explanatroy variable Explanatory Variable

| Country                        | Corr                 | Variable                | SD_Dependent        | SD_Explanatory      | Beta (simple)        |
|--------------------------------|----------------------|-------------------------|---------------------|---------------------|----------------------|
| <b>bank_loans_gdp_twfe</b>     |                      |                         |                     |                     |                      |
| Japan                          | 0.21728068292826800  | bank_loans_gdp_twfe     | 0.15442015825073200 |                     |                      |
| Italy                          | 0.15448459988272500  | bank_loans_gdp_twfe     | 0.10183071221816700 |                     |                      |
| Denmark                        | 0.15013375731150300  | bank_loans_gdp_twfe     | 0.07152639525871860 | 0.12600764199017600 | 0.08522123180414950  |
| Australia                      | 0.04647658213867080  | bank_loans_gdp_twfe     | 0.09287430398436140 | 0.12520502957090600 | 0.03447529410355300  |
| Germany                        | 0.01357647356169680  | bank_loans_gdp_twfe     | 0.17900167925589000 | 0.14652107445207300 | 0.01658608889543640  |
| Canada                         | -0.03890166758229230 | bank_loans_gdp_twfe     | 0.12576178196156700 | 0.20645009264845900 | -0.02369746108448710 |
| United Kingdom                 | -0.04298325022141550 | bank_loans_gdp_twfe     | 0.07614569072892660 | 0.15954338824343500 | -0.02051472840033940 |
| Sweden                         | -0.06112712745334440 | bank_loans_gdp_twfe     | 0.06361508481447730 | 0.13490976461283400 | -0.02882376534100010 |
| Switzerland                    | -0.14243033458252500 | bank_loans_gdp_twfe     | 0.07958374516740530 | 0.43841329439623500 | -0.02585491725823290 |
| Norway                         | -0.17242739901645800 | bank_loans_gdp_twfe     | 0.08336718552043060 | 0.13311766935980000 | -0.10798556669255600 |
| United States                  | -0.21136570200960200 | bank_loans_gdp_twfe     | 0.10849307611546200 | 0.12887421132107500 | -0.17793874322298800 |
| France                         | -0.58013822255008500 | bank_loans_gdp_twfe     | 0.13745482777202700 | 0.18294349357070700 |                      |
| <b>liquid_liabilities_twfe</b> |                      |                         |                     |                     |                      |
| Portugal                       | 0.32280561163942700  | liquid_liabilities_twfe | 0.0789513941844209  | 0.1756409667115760  | 0.1451025553243430   |
| Denmark                        | 0.26306768165790300  | liquid_liabilities_twfe | 0.0715263952587186  | 0.1260076419901760  | 0.1493265224304800   |
| Sweden                         | 0.24807467639392900  | liquid_liabilities_twfe | 0.0636150848144773  | 0.1349097646128340  | 0.1169766445328350   |
| Italy                          | 0.0988549821269466   | liquid_liabilities_twfe | 0.1018307122181670  |                     |                      |
| Spain                          | 0.0118920114703139   | liquid_liabilities_twfe | 0.1118746648228540  | 0.1210324627139810  | 0.0109922145470582   |
| Japan                          | 0.00757383501338541  | liquid_liabilities_twfe | 0.1544201582507320  |                     |                      |
| Germany                        | -0.0670726840803608  | liquid_liabilities_twfe | 0.1790016792558900  | 0.1465210744520730  | -0.0819412710934742  |
| Finland                        | -0.0937819779429461  | liquid_liabilities_twfe | 0.0796180179474469  |                     |                      |
| Australia                      | -0.1433262673793020  | liquid_liabilities_twfe | 0.0928743039843614  | 0.1252050295709060  | -0.1063162348281760  |
| United Kingdom                 | -0.2381021464034780  | liquid_liabilities_twfe | 0.0761456907289266  | 0.1595433882434350  | -0.1136396349704510  |
| Canada                         | -0.4038085511617840  | liquid_liabilities_twfe | 0.1257617819615670  | 0.2064500926484590  | -0.2459852757339210  |
| United States                  | -0.4480814511932620  | liquid_liabilities_twfe | 0.1084930761154620  | 0.1288742113210750  | -0.3772184868633030  |
| France                         | -0.5379348771812960  | liquid_liabilities_twfe | 0.1374548277720270  | 0.1829434935707070  | -0.4041780576740940  |
| <b>ln_gdppc_lag5_twfe</b>      |                      |                         |                     |                     |                      |
| Norway                         | 0.0692955543836473   | ln_gdppc_lag5_twfe      | 0.0833671855204306  | 0.1331176693598000  | 0.0433975096305824   |
| United Kingdom                 | -0.118631929702146   | ln_gdppc_lag5_twfe      | 0.0761456907289266  | 0.1595433882434350  | -0.0566197717694960  |
| Portugal                       | -0.170895693232211   | ln_gdppc_lag5_twfe      | 0.0789513941844209  | 0.1756409667115760  | -0.0768183726917902  |
| Japan                          | -0.257123531171251   | ln_gdppc_lag5_twfe      | 0.1544201582507320  |                     |                      |
| Netherlands                    | -0.266486728418701   | ln_gdppc_lag5_twfe      | 0.1310814981610310  |                     |                      |
| United States                  | -0.232258051721681   | ln_gdppc_lag5_twfe      | 0.1084930761154620  | 0.1288742113210750  | -0.1955270199178210  |
| Finland                        | -0.300072069185730   | ln_gdppc_lag5_twfe      | 0.0796180179474469  |                     |                      |
| Canada                         | -0.436115973853909   | ln_gdppc_lag5_twfe      | 0.1257617819615670  | 0.2064500926484590  | -0.2656657660462480  |
| France                         | -0.580138222550085   | ln_gdppc_lag5_twfe      | 0.1374548277720270  | 0.1829434935707070  | -0.4358875951703160  |
| Germany                        | -0.682861578091834   | ln_gdppc_lag5_twfe      | 0.1790016792558900  | 0.1465210744520730  | -0.8342374612994560  |
| <b>mcap_gdp_twfe</b>           |                      |                         |                     |                     |                      |
| Portugal                       | 0.35181054042592700  | mcap_gdp_twfe           | 0.0789513941844209  | 0.1756409667115760  | 0.15814039956300700  |
| Spain                          | 0.20217620209943700  | mcap_gdp_twfe           | 0.1118746648228540  | 0.1210324627139810  | 0.1868787458988010   |
| United Kingdom                 | 0.19036639238315500  | mcap_gdp_twfe           | 0.0761456907289266  | 0.1595433882434350  | 0.0908566666358593   |
| Switzerland                    | 0.15832680513125900  | mcap_gdp_twfe           | 0.0795837451674053  | 0.4384132943962350  | 0.0287405520630666   |
| Denmark                        | 0.09338010180615870  | mcap_gdp_twfe           | 0.0715263952587186  | 0.1260076419901760  | 0.0530058492135534   |
| Sweden                         | 0.06193050610491810  | mcap_gdp_twfe           | 0.0636150848144773  | 0.1349097646128340  | 0.0292025889287861   |
| Australia                      | -0.00063538665351348 | mcap_gdp_twfe           | 0.0928743039843614  | 0.1252050295709060  | -0.00047131567644092 |
| France                         | -0.09205561425441880 | mcap_gdp_twfe           | 0.1374548277720270  | 0.1829434935707070  | -0.0691661034553204  |
| Switzerland                    | -0.15468366829884800 | mcap_gdp_twfe           | 0.0795837451674053  | 0.4384132943962350  | -0.0280792252351932  |
| Norway                         | -0.18784127463825500 | mcap_gdp_twfe           | 0.0833671855204306  | 0.1331176693598000  | -0.1176387662620140  |
| United States                  | -0.27738959023364700 | mcap_gdp_twfe           | 0.1084930761154620  | 0.1288742113210750  | -0.2335211181380440  |
| Canada                         | -0.30501324308771700 | mcap_gdp_twfe           | 0.1257617819615670  | 0.2064500926484590  | -0.1858028179135050  |

article graphicx graphicx booktabs pdfscape multirow geometry caption margin=1in

Table 30: Importance of Time Fixed Effects Across Variables

| Variable                                  | Observations | Years | $R^2$ | Adj. $R^2$ | F-stat (Year FE) | p-value |
|-------------------------------------------|--------------|-------|-------|------------|------------------|---------|
| ln GDP growth 5y (within)                 | 2144         | 133   | 0.300 | 0.253      | 6.47             | 0.000   |
| ln labour productivity growth 5y (within) | 2016         | 125   | 0.322 | 0.277      | 7.17             | 0.000   |
| Liquid liabilities (within)               | 2224         | 138   | 0.375 | 0.333      | 9.05             | 0.000   |
| Market capitalization / GDP (within)      | 1488         | 126   | 0.607 | 0.570      | 16.67            | 0.000   |
| Bank loans / GDP (within)                 | 1668         | 138   | 0.682 | 0.654      | 23.81            | 0.000   |

Table 31: Univariate descriptive statistics by transformation

| ln_gdp_growth_5y |          |           |           |           | liquid_liabilities |          |           |           |            |
|------------------|----------|-----------|-----------|-----------|--------------------|----------|-----------|-----------|------------|
| Statistic        | Between  | Within    | TWFE      | FirstDiff | Statistic          | Between  | Within    | TWFE      | FirstDiff  |
| Mean             | 0.0956   | 0.0000    | 0.0000    | -0.0004   | Mean               | 0.5938   | -0.0000   | 0.0000    | 0.0057     |
| SE               | 0.0003   | 0.0028    | 0.0024    | 0.0016    | SE                 | 0.0024   | 0.0049    | 0.0039    | 0.0014     |
| Q1               | 0.0866   | -0.0574   | -0.0415   | -0.0289   | Q1                 | 0.5121   | -0.1393   | -0.1271   | -0.0107    |
| Median           | 0.0956   | 0.0064    | -0.0023   | -0.0017   | Median             | 0.5888   | -0.0253   | -0.0005   | 0.0056     |
| Q3               | 0.1047   | 0.0617    | 0.0418    | 0.0267    | Q3                 | 0.6261   | 0.1109    | 0.1041    | 0.0224     |
| Std_MAX          | 106.5262 | 255.6753  | 299.3752  | 489.1175  | Std_MAX            | 140.3621 | 324.6846  | 393.7554  | 420.9124   |
| Std_MIN          | -86.7047 | -370.2491 | -384.5361 | -473.1952 | Std_MIN            | -65.6070 | -106.8822 | -159.7807 | -1046.0670 |

  

| mcap_gdp  |          |          |           |           | bank_loans_gdp |          |          |           |           |
|-----------|----------|----------|-----------|-----------|----------------|----------|----------|-----------|-----------|
| Statistic | Between  | Within   | TWFE      | FirstDiff | Statistic      | Between  | Within   | TWFE      | FirstDiff |
| Mean      | 0.4319   | -0.0000  | -0.0000   | 0.0061    | Mean           | 0.6261   | 0.0000   | -0.0000   | 0.0063    |
| SE        | 0.0052   | 0.0080   | 0.0050    | 0.0028    | SE             | 0.0060   | 0.0064   | 0.0036    | 0.0011    |
| Q1        | 0.2362   | -0.1747  | -0.1155   | -0.0237   | Q1             | 0.4420   | -0.1897  | -0.1039   | -0.0112   |
| Median    | 0.3893   | -0.0742  | -0.0116   | 0.0041    | Median         | 0.5229   | -0.0508  | -0.0070   | 0.0072    |
| Q3        | 0.6758   | 0.0952   | 0.0836    | 0.0445    | Q3             | 0.6909   | 0.1562   | 0.0868    | 0.0249    |
| Std_MAX   | 66.2633  | 265.8348 | 286.0876  | 249.4248  | Std_MAX        | 83.9762  | 178.6632 | 185.6218  | 541.8276  |
| Std_MIN   | -49.2983 | -72.4132 | -102.6897 | -356.5606 | Std_MIN        | -34.0340 | -90.4951 | -131.4073 | -348.0149 |

Table 32: Lagged coefficients

| Lag | Bank loans / GDP | Liquid liabilities | $\ln(GDPpc)_{t-5}$ | Market cap / GDP |
|-----|------------------|--------------------|--------------------|------------------|
| 0   | -0.064           | -0.176             | 0.033              | 0.011            |
| 1   | -0.086           | -0.154             | 0.028              | 0.023            |
| 2   | -0.114           | -0.123             | 0.027              | 0.013            |
| 3   | -0.139           | -0.079             | 0.028              | 0.001            |
| 4   | -0.154           | -0.011             | 0.031              | -0.012           |
| 5   | -0.155           | 0.052              | 0.032              | -0.017           |
| 6   | -0.164           | 0.067              | 0.030              | -0.031           |
| 7   | -0.168           | 0.066              | 0.026              | -0.022           |
| 8   | -0.165           | 0.057              | 0.023              | -0.019           |
| 9   | -0.160           | 0.040              | 0.018              | -0.029           |

**Table 34.** First-Difference Correlation Matrix

| Panel A: Contemporaneous variables |                              |                       |                   |                         |                   |                      |
|------------------------------------|------------------------------|-----------------------|-------------------|-------------------------|-------------------|----------------------|
|                                    | $\Delta \ln(GDPgrowth_{5y})$ | $\Delta$ Liquid liab. | $\Delta$ MCap/GDP | $\Delta$ Bank loans/GDP | $\Delta \ln(CPI)$ | $\Delta$ Trade open. |
| $\Delta \ln(GDPgrowth_{5y})$       | 1.000                        | -0.315                | -0.031            | -0.110                  | -0.067            | 0.036                |
| $\Delta$ Liquid liabilities        | -0.315                       | 1.000                 | 0.079             | 0.543                   | -0.061            | -0.038               |
| $\Delta$ MCap/GDP                  | -0.031                       | 0.079                 | 1.000             | 0.052                   | -0.039            | 0.014                |
| $\Delta$ Bank loans/GDP            | -0.110                       | 0.543                 | 0.052             | 1.000                   | -0.114            | 0.017                |
| $\Delta \ln(CPI)$                  | -0.067                       | -0.061                | -0.039            | -0.114                  | 1.000             | -0.075               |
| $\Delta$ Trade openness            | 0.036                        | -0.038                | 0.014             | 0.017                   | -0.075            | 1.000                |

| Panel B: Lagged variables                               |                                    |                                                   |                                               |                                                     |                         |                                                  |
|---------------------------------------------------------|------------------------------------|---------------------------------------------------|-----------------------------------------------|-----------------------------------------------------|-------------------------|--------------------------------------------------|
|                                                         | $\Delta \ln(GDPgrowth_{5y})_{t-1}$ | $\Delta$ Liquid liab. <sub><math>t-1</math></sub> | $\Delta$ MCap/GDP <sub><math>t-1</math></sub> | $\Delta$ Bank loans/GDP <sub><math>t-1</math></sub> | $\Delta \ln(CPI)_{t-1}$ | $\Delta$ Trade open. <sub><math>t-1</math></sub> |
| $\Delta \ln(GDPgrowth_{5y})_{t-1}$                      | 1.000                              | -0.305                                            | -0.031                                        | -0.103                                              | -0.068                  | 0.038                                            |
| $\Delta$ Liquid liabilities <sub><math>t-1</math></sub> | -0.305                             | 1.000                                             | 0.079                                         | 0.536                                               | -0.060                  | -0.045                                           |
| $\Delta$ MCap/GDP <sub><math>t-1</math></sub>           | -0.031                             | 0.079                                             | 1.000                                         | 0.052                                               | -0.039                  | 0.014                                            |
| $\Delta$ Bank loans/GDP <sub><math>t-1</math></sub>     | -0.103                             | 0.536                                             | 0.052                                         | 1.000                                               | -0.115                  | 0.013                                            |
| $\Delta \ln(CPI)_{t-1}$                                 | -0.068                             | -0.060                                            | -0.039                                        | -0.115                                              | 1.000                   | -0.077                                           |
| $\Delta$ Trade openness <sub><math>t-1</math></sub>     | 0.038                              | -0.045                                            | 0.014                                         | 0.013                                               | -0.077                  | 1.000                                            |

*Notes:* All variables are expressed in first differences. Panel A reports correlations among contemporaneous variables; Panel B reports correlations among lagged variables. Lagged variables are denoted by  $t - 1$ .

Table 33: Two-Way-Within Correlation Matrix

|                       | $\ln(GDPgrowth_{5y})$ | Liquid liabilities | Market cap / GDP | Bank loans / GDP | $\ln(CPI)$ | Trade openness |
|-----------------------|-----------------------|--------------------|------------------|------------------|------------|----------------|
| $\ln(GDPgrowth_{5y})$ | 1.000                 | -0.107             | -0.013           | 0.010            | 0.032      | 0.074          |
| Liquid liabilities    | -0.107                | 1.000              | 0.197            | 0.433            | -0.184     | 0.071          |
| Market cap / GDP      | -0.013                | 0.197              | 1.000            | 0.052            | -0.202     | 0.049          |
| Bank loans / GDP      | 0.010                 | 0.433              | 0.052            | 1.000            | -0.181     | -0.012         |
| $\ln(CPI)$            | 0.032                 | -0.184             | -0.202           | -0.181           | 1.000      | -0.008         |
| Trade openness        | 0.074                 | 0.071              | 0.049            | -0.012           | -0.008     | 1.000          |

Table 34: Panel tests: fixed effects and poolability

| Test                              | $F$     | df <sub>1</sub> | df <sub>2</sub> | $p$ -value |
|-----------------------------------|---------|-----------------|-----------------|------------|
| Fisher FE test (country effects)  | 2.3614  | 8               | 1101            | 0.0161     |
| ANCOVA poolability (one-way base) | 8.2128  | 48              | 1053            | < 0.0001   |
| ANCOVA poolability (two-way base) | 25.7570 | 48              | 927             | < 0.0001   |

*Notes:* The Fisher test rejects the null of no country effects. The ANCOVA tests reject poolability (common slopes), both with and without time effects, motivating heterogeneous-intercept panel estimators (FE/CRE/FD) and the inclusion of time effects (two-way FE).

Table 35: Between estimator (BE): regression on country means

| Regressor            | Coefficient |
|----------------------|-------------|
| Constant             | 0.4963      |
| $\ln(GDPpc)_{i,t-5}$ | -0.0404     |
| $MCap/GDP$           | -0.0406     |
| $BankLoans/GDP$      | -0.0014     |
| $\ln(CPI)$           | 0.0034      |
| $\ln(TradeOpenness)$ | 0.0010      |
| $N$ (countries)      | 9           |
| $R^2$                | 0.6695      |

*Notes:* BE uses country averages (between variation only). `liquid.liabilities` is excluded due to high multicollinearity (VIF > 10) in the BE specification.

Table 36: Within estimator: one-way fixed effects (country FE)

| Regressor (within transformation) | Coefficient |
|-----------------------------------|-------------|
| $\ln(GDPpc)_{i,t-5}$ (within)     | -0.0006     |
| Liquid liabilities (within)       | -0.1287     |
| $MCap/GDP$ (within)               | 0.0317      |
| $BankLoans/GDP$ (within)          | -0.0100     |
| $\ln(CPI)$ (within)               | 0.0020      |
| $\ln(TradeOpenness)$ (within)     | -0.0027     |
| Observations                      | 1116        |
| $R^2$ (within OLS)                | 0.0399      |

*Notes:* One-way FE removes time-invariant country heterogeneity via within transformation. No constant is included by construction.



Table 37: Mundlak (correlated random effects): RE with country means of regressors

| Regressor            | Coef.   | Std. Err. | <i>t</i> | <i>p</i> -value |
|----------------------|---------|-----------|----------|-----------------|
| Constant             | 0.3404  | 0.2700    | 1.2607   | 0.2077          |
| $\ln(GDPpc)_{i,t-5}$ | -0.0023 | 0.0128    | -0.1772  | 0.8594          |
| Liquid liabilities   | -0.1133 | 0.0480    | -2.3620  | 0.0183          |
| $MCap/GDP$           | 0.0299  | 0.0129    | 2.3204   | 0.0205          |
| $BankLoans/GDP$      | -0.0158 | 0.0504    | -0.3127  | 0.7546          |
| $\ln(CPI)$           | 0.0026  | 0.0005    | 4.8734   | 0.0000          |
| $\ln(TradeOpenness)$ | 0.0047  | 0.0019    | 2.5080   | 0.0123          |
| $\ln(GDPpc)_{i,t-5}$ | -0.0164 | 0.0334    | -0.4900  | 0.6242          |
| $MCap/GDP$           | -0.0242 | 0.0315    | -0.7690  | 0.4420          |
| $BankLoans/GDP$      | 0.0435  | 0.0415    | 1.0475   | 0.2951          |
| $\ln(CPI)$           | -0.0019 | 0.0018    | -1.0187  | 0.3086          |
| Observations         |         | 1116      |          |                 |
| Entities             |         | 9         |          |                 |
| Time periods         |         | 127       |          |                 |
| $R^2$ (overall)      |         | 0.0518    |          |                 |
| $R^2$ (between)      |         | 0.6372    |          |                 |
| $R^2$ (within)       |         | 0.0383    |          |                 |

*Notes:* The Mundlak specification augments RE with country means of time-varying regressors to allow correlation between regressors and unobserved country effects. Mean terms for trade openness and liquid liabilities are excluded due to high multicollinearity ( $VIF > 10$ ). Standard errors are clustered at the country level.

Table 38: Two-way fixed effects (country and year effects): TWFE-transformed regression

| Regressor (TWFE transformation) | Coefficient |
|---------------------------------|-------------|
| $\ln(GDPpc)_{i,t-5}$ (twfe)     | -0.1753     |
| Liquid liabilities (twfe)       | -0.1162     |
| $MCap/GDP$ (twfe)               | -0.0327     |
| $BankLoans/GDP$ (twfe)          | 0.0420      |
| $\ln(CPI)$ (twfe)               | 0.0002      |
| $\ln(TradeOpenness)$ (twfe)     | 0.0080      |
| Observations                    | 1116        |
| $R^2$                           | 0.0839      |

*Notes:* Two-way FE removes both country and year effects. No constant is included by construction. The ANCOVA two-way poolability test strongly supports inclusion of time effects.

Table 39: First differences (FD): OLS in changes

| Regressor (first difference) | Coefficient |
|------------------------------|-------------|
| $\Delta \ln(GDPpc)_{i,t-5}$  | -0.9241     |
| $\Delta$ Liquid liabilities  | -0.4589     |
| $\Delta(MCap/GDP)$           | 0.0050      |
| $\Delta(BankLoans/GDP)$      | 0.1156      |
| $\Delta \ln(CPI)$            | -0.0069     |
| $\Delta \ln(TradeOpenness)$  | -0.0018     |
| Observations                 | 1107        |
| $R^2$                        | 0.5342      |

*Notes:* FD differences out time-invariant country effects and focuses on short-run changes. No constant is included by construction.

Table 40: Coefficient comparison across estimators (having removed high VIF)

|                      | BE      | FE (1-way) | Mundlak (RE) | TWFE    | FD      |
|----------------------|---------|------------|--------------|---------|---------|
| Constant             | 0.4963  | –          | 0.3404       | –       | –       |
| $\ln(GDPpc)_{t-5}$   | -0.0404 | -0.0006    | -0.0023      | -0.1753 | -0.9241 |
| Liquid liabilities   | –       | -0.1287    | -0.1133      | -0.1162 | -0.4589 |
| $MCap/GDP$           | -0.0406 | 0.0317     | 0.0299       | -0.0327 | 0.0050  |
| $BankLoans/GDP$      | -0.0014 | -0.0100    | -0.0158      | 0.0420  | 0.1156  |
| $\ln(CPI)$           | 0.0034  | 0.0020     | 0.0026       | 0.0002  | -0.0069 |
| $\ln(Tradeopenness)$ | 0.0010  | -0.0027    | 0.0047       | 0.0080  | -0.0018 |

*Notes:* FE, TWFE, and FD coefficients come from transformed regressions (within, two-way demeaning, and first differences). BE excludes Liquid liabilities due to high VIF. Mundlak additionally includes country-mean regressors (not shown here):  $\ln(GDPpc)_{t-5}$ ,  $MCap/GDP$ ,  $BankLoans/GDP$ ,  $\ln(CPI)$ ;  $\ln(Tradeopenness)$  and  $Liquidliabilities$  are dropped for high VIF.

Table 41: Univariate Statistics

|                                 | Mean      | Median    | Std. dev. | Std. err. | Skewness  | Kurtosis   | Min       | Max      | <i>n</i> |
|---------------------------------|-----------|-----------|-----------|-----------|-----------|------------|-----------|----------|----------|
| <i>d</i> _ln_gdp_growth_5y      | -0.000266 | -0.001509 | 0.074836  | 0.001628  | 0.667090  | 19.581472  | -0.766403 | 0.791372 | 2112     |
| <i>d</i> _ln_gdp_growth_5y_l1   | 0.000106  | -0.001302 | 0.074651  | 0.001624  | 0.666517  | 19.776906  | -0.766403 | 0.791372 | 2112     |
| <i>d</i> _liquid_liabilities    | 0.005504  | 0.005124  | 0.068793  | 0.001497  | -5.830477 | 130.266391 | -1.493865 | 0.609135 | 2112     |
| <i>d</i> _liquid_liabilities_l1 | 0.004378  | 0.004927  | 0.067442  | 0.001468  | -6.243464 | 140.558559 | -1.493865 | 0.609135 | 2112     |
| ln_gdp_growth_5y_l2             | 0.096491  | 0.100122  | 0.132004  | 0.002872  | -1.097063 | 9.395162   | -0.946174 | 0.803192 | 2112     |
| liquid_liabilities_l2           | 0.595839  | 0.551024  | 0.249750  | 0.005434  | 1.318177  | 3.603346   | 0.057906  | 2.259868 | 2112     |

*Notes:* The table reports standard univariate descriptive statistics. All first-differenced variables are denoted by the prefix *d*. Lagged variables are indicated by the respective subscripts *l1* and *l2*.

Table 42: Correlation Matrix

|                                                                      | <i>d</i> _ln( <i>GDPgrowth</i> <sub>5y</sub> ) <sub><i>t</i>-1</sub> | <i>d</i> _Liquidliabilities | <i>d</i> _Liquidliabilities <sub><i>t</i>-1</sub> | ln( <i>GDPgrowth</i> <sub>5y</sub> ) <sub><i>t</i>-2</sub> | Liquidliabilities <sub><i>t</i>-2</sub> |
|----------------------------------------------------------------------|----------------------------------------------------------------------|-----------------------------|---------------------------------------------------|------------------------------------------------------------|-----------------------------------------|
| <i>d</i> _ln( <i>GDPgrowth</i> <sub>5y</sub> ) <sub><i>t</i>-1</sub> | 1.000000                                                             | -0.136539                   | -0.304802                                         | -0.284774                                                  | 0.027101                                |
| <i>d</i> _Liquidliabilities                                          | -0.136539                                                            | 1.000000                    | 0.222596                                          | 0.171308                                                   | -0.126784                               |
| <i>d</i> _Liquidliabilities <sub><i>t</i>-1</sub>                    | -0.304802                                                            | 0.222596                    | 1.000000                                          | 0.098385                                                   | -0.095948                               |
| ln( <i>GDPgrowth</i> <sub>5y</sub> ) <sub><i>t</i>-2</sub>           | -0.284774                                                            | 0.171308                    | 0.098385                                          | 1.000000                                                   | -0.143237                               |
| Liquidliabilities <sub><i>t</i>-2</sub>                              | 0.027101                                                             | -0.126784                   | -0.095948                                         | -0.143237                                                  | 1.000000                                |

*Notes:* The table reports pairwise correlations. First-differenced variables are denoted by the prefix *d*, and lagged variables by subscripts.

Table 43: OLS FD-ARDL Regression Results

|                                   | Coefficient                         | Std. Error | z-statistic | p-value | 2.5%   | 97.5%  |
|-----------------------------------|-------------------------------------|------------|-------------|---------|--------|--------|
| Constant                          | 0.0019                              | 0.0020     | 1.126       | 0.260   | -0.001 | 0.005  |
| $\Delta GDPG_{t-1}$               | 0.2104                              | 0.0540     | 3.866       | 0.000   | 0.104  | 0.317  |
| $\Delta(Liquidliabilities)_t$     | -0.3311                             | 0.0760     | -4.339      | 0.000   | -0.481 | -0.182 |
| $\Delta(Liquidliabilities)_{t-1}$ | 0.0764                              | 0.0510     | 1.501       | 0.133   | -0.023 | 0.176  |
| $\Delta \ln(CPI)_t$               | -0.0130                             | 0.0040     | -3.385      | 0.001   | -0.020 | -0.005 |
| $\Delta \ln(Tradeopenness)_t$     | 0.0085                              | 0.0240     | 0.357       | 0.721   | -0.038 | 0.055  |
| <b>Model diagnostics</b>          |                                     |            |             |         |        |        |
| Observations                      | 2112                                |            |             |         |        |        |
| $R^2$                             | 0.149                               |            |             |         |        |        |
| Adjusted $R^2$                    | 0.147                               |            |             |         |        |        |
| F-statistic                       | 10.10 ( $p = 1.44 \times 10^{-9}$ ) |            |             |         |        |        |
| Log-likelihood                    | 2648.8                              |            |             |         |        |        |
| AIC                               | -5286                               |            |             |         |        |        |
| BIC                               | -5252                               |            |             |         |        |        |
| Covariance type                   | HC1 (robust)                        |            |             |         |        |        |
| Durbin-Watson                     | 1.944                               |            |             |         |        |        |
| Jarque-Bera                       | 26271.819 ( $p = 0.000$ )           |            |             |         |        |        |

*Notes:* The dependent variable is  $\Delta GDPG$ . The model is estimated by OLS with heteroskedasticity-consistent (HC1) standard errors. are reported at the 95% level.

Table 44: Anderson–Hsiao IV (2SLS) Estimation

|                                   | Coefficient                            | Std. Error | <i>t</i> -statistic | <i>p</i> -value | Lower CI | Upper CI |
|-----------------------------------|----------------------------------------|------------|---------------------|-----------------|----------|----------|
| Constant                          | 0.0002                                 | 0.0035     | 0.0587              | 0.9532          | -0.0066  | 0.0070   |
| $\Delta(Liquidliabilities)_t$     | -0.2138                                | 0.1498     | -1.4272             | 0.1535          | -0.5074  | 0.0798   |
| $\Delta \ln(CPI)_t$               | -0.0155                                | 0.0028     | -5.6042             | 0.0000          | -0.0209  | -0.0101  |
| $\Delta \ln(Tradeopenness)_t$     | -0.0338                                | 0.0254     | -1.3304             | 0.1834          | -0.0836  | 0.0160   |
| $\Delta GDPG_{t-1}$               | 1.4965                                 | 0.2731     | 5.4796              | 0.0000          | 0.9613   | 2.0318   |
| $\Delta(Liquidliabilities)_{t-1}$ | 0.3495                                 | 0.7240     | 0.4828              | 0.6293          | -1.0695  | 1.7685   |
| <b>Model diagnostics</b>          |                                        |            |                     |                 |          |          |
| Observations                      |                                        |            |                     |                 |          | 2112     |
| Estimator                         | IV-2SLS (Anderson–Hsiao)               |            |                     |                 |          |          |
| $R^2$                             |                                        |            |                     |                 |          | -1.3326  |
| Adjusted $R^2$                    |                                        |            |                     |                 |          | -1.3382  |
| F-statistic                       | 81.960 (Chi-square, $p = 0.0000$ )     |            |                     |                 |          |          |
| Covariance type                   | Robust (heteroskedasticity-consistent) |            |                     |                 |          |          |

*Notes:* The dependent variable is  $\Delta GDPG$ . The model is estimated using the Anderson–Hsiao instrumental variables approach via two-stage least squares (2SLS). Endogenous regressors are  $\Delta GDPG_{t-1}$  and  $\Delta(Liquidliabilities)_{t-1}$ . Instruments are  $GDPG_{t-2}$  (in levels) and  $Liquidliabilities_{t-2}$  (in levels). Robust (heteroskedasticity-consistent) standard errors are reported. Confidence intervals are at the 95% level.

Table 45: FE-OLS in Levels (Long- $T$  Benchmark)

|                             | Coefficient | Std. Error | $t$ -statistic | $p$ -value | Lower CI                | Upper CI |
|-----------------------------|-------------|------------|----------------|------------|-------------------------|----------|
| Constant                    | 0.0448      | 0.0221     | 2.0278         | 0.0427     | 0.0015                  | 0.0881   |
| $\ln(GDPgrowth_{5y})_{t-1}$ | 0.8202      | 0.0279     | 29.4300        | 0.0000     | 0.7656                  | 0.8749   |
| $Liquidliabilities_t$       | -0.2641     | 0.0701     | -3.7676        | 0.0002     | -0.4016                 | -0.1266  |
| $Liquidliabilities_{t-1}$   | 0.2538      | 0.0749     | 3.3870         | 0.0007     | 0.1069                  | 0.4008   |
| $\ln(CPI)_t$                | 0.0005      | 0.0006     | 0.9101         | 0.3629     | -0.0006                 | 0.0016   |
| $\ln(Tradeopenness)_t$      | 0.0050      | 0.0047     | 1.0749         | 0.2825     | -0.0041                 | 0.0142   |
| <b>Model diagnostics</b>    |             |            |                |            |                         |          |
| Observations                |             |            |                |            |                         | 2128     |
| Entities                    |             |            |                |            |                         | 16       |
| Time periods                |             |            |                |            |                         | 133      |
| $R^2$ (within)              |             |            |                |            |                         | 0.7279   |
| $R^2$ (between)             |             |            |                |            |                         | -1.0889  |
| $R^2$ (overall)             |             |            |                |            |                         | 0.7021   |
| F-statistic                 |             |            |                |            | 858.88 ( $p = 0.0000$ ) |          |
| F-statistic (robust)        |             |            |                |            | 220.01 ( $p = 0.0000$ ) |          |
| Log-likelihood              |             |            |                |            |                         | 2919.8   |
| Covariance estimator        |             |            |                |            |                         | Robust   |
| Poolability $F$ -test       |             |            |                |            | 3.1379 ( $p = 0.0000$ ) |          |

*Notes:* The dependent variable is  $\ln(GDPgrowth_{5y})$ . The model is estimated by OLS with both entity and time fixed effects. Robust (heteroskedasticity-consistent) standard errors are reported. Confidence intervals are at the 95% level. The poolability test rejects the null of homogeneous intercepts.

Table 46: First-Stage Regressions (Anderson-Hsiao IV)

|                                   | $\Delta GDPG_{t-1}$    | $\Delta(Liquidliabilities)_{t-1}$ |
|-----------------------------------|------------------------|-----------------------------------|
| $R^2$                             | 0.0964                 | 0.0572                            |
| Partial $R^2$                     | 0.0685                 | 0.0079                            |
| Shea's $R^2$                      | 0.0447                 | 0.0051                            |
| Partial $F$ -statistic            | 38.629                 | 1.5758                            |
| $P$ -value (Partial $F$ )         | $4.092 \times 10^{-9}$ | 0.4548                            |
| Partial $F$ distribution          | $\chi^2(2)$            | $\chi^2(2)$                       |
| Constant                          | 0.0194<br>(3.1883)     | 0.0107<br>(1.1897)                |
| $\Delta(Liquidliabilities)_t$     | -0.0943<br>(-2.2878)   | 0.2009<br>(2.5645)                |
| $\Delta \ln(CPI)_t$               | 0.0011<br>(0.2848)     | -0.0016<br>(-0.4369)              |
| $\Delta \ln(Tradeopenness)_t$     | 0.0258<br>(3.2732)     | 0.0009<br>(0.1057)                |
| $GDPG_{t-2}$ (level)              | -0.1497<br>(-6.1391)   | 0.0278<br>(1.2446)                |
| $Liquidliabilities_{t-2}$ (level) | -0.0075<br>(-0.8619)   | -0.0169<br>(-0.9056)              |

*Notes:* The table reports the first-stage regressions corresponding to the Anderson-Hsiao IV (2SLS) specification.  $t$ -statistics are reported in parentheses and use the same covariance estimator as the second stage.

Table 47: Structural Break Tests Across Monetary Regimes

| <b>Regime</b>          | <b>F-statistic</b> | <b>p-value</b> | <b>Restrictions</b> |
|------------------------|--------------------|----------------|---------------------|
| Gold Standard (GS)     | 2.753              | 0.0000         | 40                  |
| Bretton Woods (BW)     | 5.474              | 0.0000         | 40                  |
| Financialization (FIN) | 3.365              | 0.0000         | 40                  |

Table 48: Share of Stationary and Non-Stationary Series by Variable

| <b>Variable</b>    | <b>Share Stationary</b> | <b>Share Non-Stationary</b> |
|--------------------|-------------------------|-----------------------------|
| bank_loans_gdp     | 0.000                   | 1.000                       |
| liquid_liabilities | 0.063                   | 0.938                       |
| ln_cpi             | 0.271                   | 0.729                       |
| ln_gdp_growth_2y   | 0.500                   | 0.500                       |
| ln_trade_openness  | 0.125                   | 0.875                       |
| mcap_gdp           | 0.167                   | 0.833                       |

Table 49: Engle–Granger cointegration tests: log GDP per capita and financial development (core sample)

| Country                                                 | Financial variable | Obs. | EG stat | <i>p</i> -value | Cointegrated (5%) |
|---------------------------------------------------------|--------------------|------|---------|-----------------|-------------------|
| <b>Panel A: Market capitalization (mcap_gdp)</b>        |                    |      |         |                 |                   |
| Australia                                               | mcap_gdp           | 118  | −2.949  | 0.123           | No                |
| Canada                                                  | mcap_gdp           | 118  | −1.595  | 0.723           | No                |
| Denmark                                                 | mcap_gdp           | 127  | −1.607  | 0.718           | No                |
| Germany                                                 | mcap_gdp           | 127  | −1.450  | 0.780           | No                |
| Norway                                                  | mcap_gdp           | 127  | −0.948  | 0.912           | No                |
| Sweden                                                  | mcap_gdp           | 127  | −1.201  | 0.858           | No                |
| Switzerland                                             | mcap_gdp           | 127  | −1.669  | 0.691           | No                |
| United Kingdom                                          | mcap_gdp           | 127  | −1.532  | 0.749           | No                |
| United States                                           | mcap_gdp           | 118  | −2.005  | 0.526           | No                |
| <b>Panel B: Bank loans (bank_loans_gdp)</b>             |                    |      |         |                 |                   |
| Australia                                               | bank_loans_gdp     | 139  | −1.240  | 0.847           | No                |
| Canada                                                  | bank_loans_gdp     | 139  | −1.723  | 0.666           | No                |
| Denmark                                                 | bank_loans_gdp     | 139  | −1.045  | 0.894           | No                |
| Germany                                                 | bank_loans_gdp     | 139  | −0.902  | 0.920           | No                |
| Norway                                                  | bank_loans_gdp     | 139  | −1.259  | 0.842           | No                |
| Sweden                                                  | bank_loans_gdp     | 139  | −1.418  | 0.791           | No                |
| Switzerland                                             | bank_loans_gdp     | 139  | −0.993  | 0.904           | No                |
| United Kingdom                                          | bank_loans_gdp     | 139  | −1.759  | 0.649           | No                |
| United States                                           | bank_loans_gdp     | 139  | −2.128  | 0.462           | No                |
| <b>Panel C: Liquid liabilities (liquid_liabilities)</b> |                    |      |         |                 |                   |
| Australia                                               | liquid_liabilities | 139  | −1.455  | 0.778           | No                |
| Canada                                                  | liquid_liabilities | 139  | −1.418  | 0.791           | No                |
| Denmark                                                 | liquid_liabilities | 139  | 0.583   | 0.993           | No                |
| Germany                                                 | liquid_liabilities | 139  | −1.109  | 0.880           | No                |
| Norway                                                  | liquid_liabilities | 139  | 0.210   | 0.990           | No                |
| Sweden                                                  | liquid_liabilities | 139  | 0.157   | 0.989           | No                |
| Switzerland                                             | liquid_liabilities | 139  | −1.507  | 0.759           | No                |
| United Kingdom                                          | liquid_liabilities | 139  | −1.463  | 0.775           | No                |
| United States                                           | liquid_liabilities | 139  | −1.650  | 0.699           | No                |

*Notes:* The table reports Engle–Granger cointegration tests between  $\ln(GDP_{percapita})$  and each financial development measure in levels for the nine-country core sample used in the main regression analysis. The null hypothesis is no cointegration. Reported *p*-values are MacKinnon approximate *p*-values. None of the tests reject the null at the 5% level, indicating no evidence of a stable long-run equilibrium relationship in levels.

Table 50: Share of Countries Rejecting the Null Hypothesis by Regime

| Regime                 | Countries Rejecting $H_0$ (%) |
|------------------------|-------------------------------|
| Gold Standard (GS)     | 88.9                          |
| Bretton Woods (BW)     | 100.0                         |
| Financialization (FIN) | 100.0                         |

Table 51: Share of Country–Break Tests Rejecting Stability at the 5% Level

| Regime           | Share Rejecting Stability |
|------------------|---------------------------|
| Gold Standard    | 0.40                      |
| Bretton Woods    | 0.61                      |
| Financialization | 0.72                      |



Table 52: Mean finance coefficients by institutional regime - H1 and H2

| Variable                    | Gold Standard | Bretton Woods | Financialization |
|-----------------------------|---------------|---------------|------------------|
| Bank loans / GDP            | -0.536        | -0.302        | -0.056           |
| Liquid liabilities          | 0.061         | -0.007        | -0.034           |
| Market capitalization / GDP | 0.164         | 0.132         | 0.047            |

*Notes:* The table reports mean country-level coefficients from regime-specific OLS regressions estimated with Newey–West heteroskedasticity- and autocorrelation-consistent standard errors. Structural break dummies are included as controls. Coefficients are averaged across countries within each regime.

Table 53: H3 – Bretton Woods: Credit vs. Market Finance

| Variable       | Mean coef. | Std. dev. | N |
|----------------|------------|-----------|---|
| bank_loans_gdp | -0.302238  | 0.343999  | 9 |
| mcap_gdp       | 0.132139   | 1.019018  | 9 |

Table 54: H4 – Financialization: market finance (mcap\_gdp coefficient by country)

| Country        | Coef     | p-value  |
|----------------|----------|----------|
| Australia      | 0.052057 | 0.033426 |
| Canada         | 0.012853 | 0.446123 |
| Denmark        | 0.018977 | 0.398099 |
| Germany        | 0.086768 | 0.030018 |
| Norway         | 0.096951 | 0.038000 |
| Sweden         | 0.051456 | 0.000557 |
| Switzerland    | 0.026962 | 0.001230 |
| United Kingdom | 0.039865 | 0.009444 |
| United States  | 0.040465 | 0.022128 |

Table 55: Country-by-country OLS with Newey–West (HAC) standard errors

| Regime | Country        | Variable           | Coef       | SE     | t       | p      | Nobs | Maxlags |
|--------|----------------|--------------------|------------|--------|---------|--------|------|---------|
| GS     | Canada         | liquid_liabilities | -1.5148*** | 0.4750 | -3.1894 | 0.0014 | 29   | 2       |
| GS     | Canada         | mcap_gdp           | 0.4950***  | 0.1307 | 3.7871  | 0.0002 | 29   | 2       |
| GS     | Denmark        | mcap_gdp           | -0.2944**  | 0.1441 | -2.0433 | 0.0410 | 38   | 2       |
| GS     | Norway         | liquid_liabilities | 0.5826**   | 0.2619 | 2.2248  | 0.0261 | 38   | 2       |
| GS     | Norway         | bank_loans_gdp     | -0.4477*   | 0.2428 | -1.8443 | 0.0651 | 38   | 2       |
| GS     | Switzerland    | bank_loans_gdp     | -0.2005*   | 0.1040 | -1.9286 | 0.0538 | 38   | 2       |
| GS     | United Kingdom | bank_loans_gdp     | -1.2991*** | 0.4303 | -3.0190 | 0.0025 | 38   | 2       |
| GS     | United Kingdom | mcap_gdp           | 0.4912***  | 0.1028 | 4.7797  | 0.001  | 38   | 2       |
| BW     | Australia      | mcap_gdp           | 0.2942**   | 0.1384 | 2.1258  | 0.0335 | 44   | 2       |
| BW     | Canada         | bank_loans_gdp     | -0.6981**  | 0.2897 | -2.4095 | 0.0160 | 44   | 2       |
| BW     | Canada         | mcap_gdp           | 0.1788**   | 0.0731 | 2.4455  | 0.0145 | 44   | 2       |
| BW     | Denmark        | liquid_liabilities | 0.8214**   | 0.3664 | 2.2420  | 0.0250 | 44   | 2       |
| BW     | Germany        | mcap_gdp           | -2.0495**  | 0.8665 | -2.3652 | 0.0180 | 44   | 2       |
| BW     | Norway         | mcap_gdp           | 1.9905***  | 0.5523 | 3.6042  | 0.001  | 44   | 2       |
| BW     | Sweden         | mcap_gdp           | 0.3448**   | 0.1492 | 2.3111  | 0.0208 | 44   | 2       |
| BW     | United Kingdom | bank_loans_gdp     | -0.6770**  | 0.2859 | -2.3678 | 0.0179 | 44   | 2       |
| BW     | United Kingdom | mcap_gdp           | 0.1100*    | 0.0563 | 1.9531  | 0.0508 | 44   | 2       |
| BW     | United States  | liquid_liabilities | -0.8514**  | 0.3627 | -2.3475 | 0.0189 | 44   | 2       |
| BW     | United States  | bank_loans_gdp     | -0.6613*** | 0.2363 | -2.7985 | 0.0051 | 44   | 2       |
| FIN    | Australia      | bank_loans_gdp     | -0.1303*   | 0.0694 | -1.8778 | 0.0604 | 43   | 2       |
| FIN    | Australia      | mcap_gdp           | 0.0521**   | 0.0245 | 2.1269  | 0.0334 | 43   | 2       |
| FIN    | Denmark        | bank_loans_gdp     | -0.1230*** | 0.0240 | -5.1244 | 0.001  | 43   | 2       |
| FIN    | Germany        | liquid_liabilities | -0.2923*** | 0.1095 | -2.6699 | 0.0076 | 43   | 2       |
| FIN    | Germany        | mcap_gdp           | 0.0868**   | 0.0400 | 2.1698  | 0.0300 | 43   | 2       |
| FIN    | Norway         | bank_loans_gdp     | -0.3250*** | 0.1025 | -3.1694 | 0.0015 | 43   | 2       |
| FIN    | Norway         | mcap_gdp           | 0.0970**   | 0.0467 | 2.0749  | 0.0380 | 43   | 2       |
| FIN    | Sweden         | liquid_liabilities | -0.1630**  | 0.0826 | -1.9730 | 0.0485 | 43   | 2       |
| FIN    | Sweden         | mcap_gdp           | 0.0515***  | 0.0149 | 3.4517  | 0.001  | 43   | 2       |
| FIN    | Switzerland    | liquid_liabilities | -0.2178*** | 0.0770 | -2.8294 | 0.0047 | 43   | 2       |
| FIN    | Switzerland    | bank_loans_gdp     | 0.2097**   | 0.1050 | 1.9969  | 0.0458 | 43   | 2       |
| FIN    | Switzerland    | mcap_gdp           | 0.0270***  | 0.0083 | 3.2318  | 0.0012 | 43   | 2       |
| FIN    | United Kingdom | liquid_liabilities | -0.1600**  | 0.0723 | -2.2130 | 0.0269 | 43   | 2       |
| FIN    | United Kingdom | mcap_gdp           | 0.0399***  | 0.0154 | 2.5955  | 0.0094 | 43   | 2       |
| FIN    | United States  | liquid_liabilities | -0.1489*   | 0.0837 | -1.7788 | 0.0753 | 43   | 2       |
| FIN    | United States  | mcap_gdp           | 0.0405**   | 0.0177 | 2.2882  | 0.0221 | 43   | 2       |

Notes: HAC (Newey–West) standard errors with 2 lags. \*\*\*  $p < 0.01$ , \*\*  $p < 0.05$ , \*  $p < 0.10$ .

Table 56: GS: Country-by-country OLS with Newey–West (HAC) standard errors

| Regime | Country        | Variable           | Coef            | SE          | t            | p           | Nobs | Maxlags |
|--------|----------------|--------------------|-----------------|-------------|--------------|-------------|------|---------|
| GS     | Australia      | liquid_liabilities | -0.371831254    | 0.342575755 | -1.085398626 | 0.277745141 | 29   | 2       |
| GS     | Australia      | bank_loans_gdp     | -0.303282280    | 0.295893595 | -1.024970750 | 0.305376989 | 29   | 2       |
| GS     | Australia      | mcap_gdp           | 0.212602723     | 0.232890403 | 0.912887438  | 0.361301745 | 29   | 2       |
| GS     | Canada         | liquid_liabilities | -1.514826365*** | 0.474963518 | -3.189353095 | 0.001425916 | 29   | 2       |
| GS     | Canada         | bank_loans_gdp     | -0.788429438*   | 0.445138330 | -1.771200963 | 0.076527289 | 29   | 2       |
| GS     | Canada         | mcap_gdp           | 0.495033025***  | 0.130716756 | 3.787066314  | 0.000152436 | 29   | 2       |
| GS     | Denmark        | liquid_liabilities | 0.221991934     | 0.175363201 | 1.265898050  | 0.205549584 | 38   | 2       |
| GS     | Denmark        | bank_loans_gdp     | -0.031668864    | 0.058354567 | -0.542697268 | 0.587338256 | 38   | 2       |
| GS     | Denmark        | mcap_gdp           | -0.294443297**  | 0.144098338 | -2.043349701 | 0.041017833 | 38   | 2       |
| GS     | Germany        | liquid_liabilities | -0.066302958    | 0.235126688 | -0.281988229 | 0.777952536 | 38   | 2       |
| GS     | Germany        | bank_loans_gdp     | -0.286769632    | 0.322647449 | -0.888801794 | 0.374109612 | 38   | 2       |
| GS     | Germany        | mcap_gdp           | 0.496939879     | 0.476652238 | 1.042562772  | 0.297150839 | 38   | 2       |
| GS     | Norway         | liquid_liabilities | 0.582588661**   | 0.261861212 | 2.224799376  | 0.026094709 | 38   | 2       |
| GS     | Norway         | bank_loans_gdp     | -0.447702724*   | 0.242751140 | -1.844286805 | 0.065141353 | 38   | 2       |
| GS     | Norway         | mcap_gdp           | -0.215196136*   | 0.130735695 | -1.646039642 | 0.099755598 | 38   | 2       |
| GS     | Sweden         | liquid_liabilities | 0.394226694     | 0.280126448 | 1.407316936  | 0.159333429 | 38   | 2       |
| GS     | Sweden         | bank_loans_gdp     | -0.164088536    | 0.226739792 | -0.723686542 | 0.469258197 | 38   | 2       |
| GS     | Sweden         | mcap_gdp           | -0.080954401    | 0.066562294 | -1.216220129 | 0.223901078 | 38   | 2       |
| GS     | Switzerland    | liquid_liabilities | 0.377714111     | 0.298901855 | 1.263672693  | 0.206347530 | 38   | 2       |
| GS     | Switzerland    | bank_loans_gdp     | -0.200476897*   | 0.103951570 | -1.928560537 | 0.053785442 | 38   | 2       |
| GS     | Switzerland    | mcap_gdp           | 0.298155133     | 0.204393955 | 1.458727747  | 0.144640056 | 38   | 2       |
| GS     | United Kingdom | liquid_liabilities | 0.365534386     | 0.483606893 | 0.755850241  | 0.449738990 | 38   | 2       |
| GS     | United Kingdom | bank_loans_gdp     | -1.299069042*** | 0.430293386 | -3.019030930 | 0.002535846 | 38   | 2       |
| GS     | United Kingdom | mcap_gdp           | 0.491239132***  | 0.102775834 | 4.779714398  | 1.76e-06    | 38   | 2       |
| GS     | United States  | liquid_liabilities | 0.561137432     | 1.040910005 | 0.539083522  | 0.589829225 | 29   | 2       |
| GS     | United States  | bank_loans_gdp     | -1.302327723    | 0.910100321 | -1.430971611 | 0.152438352 | 29   | 2       |
| GS     | United States  | mcap_gdp           | 0.068270379     | 0.088603811 | 0.770512893  | 0.440995710 | 29   | 2       |

Notes: HAC (Newey–West) standard errors with 2 lags. Significance: \*\*\*  $p < 0.01$ , \*\*  $p < 0.05$ , \*  $p < 0.10$ .

Table 57: BW: Country-by-country OLS with Newey–West (HAC) standard errors

| Regime | Country        | Variable           | Coef            | SE          | t            | p           | Nobs | Maxlags |
|--------|----------------|--------------------|-----------------|-------------|--------------|-------------|------|---------|
| BW     | Australia      | liquid_liabilities | 0.041561111     | 0.334178027 | 0.124368173  | 0.901023772 | 44   | 2       |
| BW     | Australia      | bank_loans_gdp     | -0.589147475    | 0.418847429 | -1.406592079 | 0.159548383 | 44   | 2       |
| BW     | Australia      | mcap_gdp           | 0.294232801**   | 0.138410440 | 2.125799182  | 0.033519984 | 44   | 2       |
| BW     | Canada         | liquid_liabilities | 0.039708079     | 0.368974254 | 0.107617479  | 0.914299132 | 44   | 2       |
| BW     | Canada         | bank_loans_gdp     | -0.698092337**  | 0.289719425 | -2.409546193 | 0.015972374 | 44   | 2       |
| BW     | Canada         | mcap_gdp           | 0.178838129**   | 0.073128149 | 2.445544292  | 0.014463368 | 44   | 2       |
| BW     | Denmark        | liquid_liabilities | 0.821427439**   | 0.366379917 | 2.242010003  | 0.024960726 | 44   | 2       |
| BW     | Denmark        | bank_loans_gdp     | -0.118430811    | 0.106278896 | -1.114339865 | 0.265133411 | 44   | 2       |
| BW     | Denmark        | mcap_gdp           | 0.044479782     | 0.355603473 | 0.125082529  | 0.900458214 | 44   | 2       |
| BW     | Germany        | liquid_liabilities | -0.044153832    | 0.348536935 | -0.126683367 | 0.899191011 | 44   | 2       |
| BW     | Germany        | bank_loans_gdp     | 0.123349116     | 0.214851423 | 0.574113562  | 0.565890957 | 44   | 2       |
| BW     | Germany        | mcap_gdp           | -2.049456495**  | 0.866503679 | -2.365202301 | 0.018020224 | 44   | 2       |
| BW     | Norway         | liquid_liabilities | 0.189800009*    | 0.101973868 | 1.861261244  | 0.062707293 | 44   | 2       |
| BW     | Norway         | bank_loans_gdp     | -0.093280354    | 0.070491516 | -1.323284833 | 0.185740673 | 44   | 2       |
| BW     | Norway         | mcap_gdp           | 1.990528202***  | 0.552285434 | 3.604165670  | 0.000313157 | 44   | 2       |
| BW     | Sweden         | liquid_liabilities | 0.029493577     | 0.362128664 | 0.081445021  | 0.935088047 | 44   | 2       |
| BW     | Sweden         | bank_loans_gdp     | 0.017940126     | 0.164128511 | 0.109305362  | 0.912960293 | 44   | 2       |
| BW     | Sweden         | mcap_gdp           | 0.344755430**   | 0.149174704 | 2.311085056  | 0.020828157 | 44   | 2       |
| BW     | Switzerland    | liquid_liabilities | -0.053632192    | 0.149244997 | -0.359356718 | 0.719328249 | 44   | 2       |
| BW     | Switzerland    | bank_loans_gdp     | -0.024266193    | 0.067159675 | -0.361320884 | 0.717859584 | 44   | 2       |
| BW     | Switzerland    | mcap_gdp           | 0.059470458     | 0.063601854 | 0.935042833  | 0.349766226 | 44   | 2       |
| BW     | United Kingdom | liquid_liabilities | -0.237580472    | 0.156981785 | -1.513427001 | 0.130171231 | 44   | 2       |
| BW     | United Kingdom | bank_loans_gdp     | -0.676962834**  | 0.285907745 | -2.367766684 | 0.017895817 | 44   | 2       |
| BW     | United Kingdom | mcap_gdp           | 0.110039825*    | 0.056341633 | 1.953081934  | 0.050809887 | 44   | 2       |
| BW     | United States  | liquid_liabilities | -0.851373882**  | 0.362675329 | -2.347482205 | 0.018900776 | 44   | 2       |
| BW     | United States  | bank_loans_gdp     | -0.661253669*** | 0.236286840 | -2.798520940 | 0.005133724 | 44   | 2       |
| BW     | United States  | mcap_gdp           | 0.216359902*    | 0.117156094 | 1.846766093  | 0.064781048 | 44   | 2       |

Notes: HAC (Newey–West) standard errors with 2 lags. Significance: \*\*\*  $p < 0.01$ , \*\*  $p < 0.05$ , \*  $p < 0.10$ .

Table 58: FIN: Country-by-country OLS with Newey–West (HAC) standard errors

| Regime | Country        | Variable           | Coef            | SE          | t            | p           | Nobs | Maxlags |
|--------|----------------|--------------------|-----------------|-------------|--------------|-------------|------|---------|
| FIN    | Australia      | liquid_liabilities | 0.162729221     | 0.133632834 | 1.217733818  | 0.223325141 | 43   | 2       |
| FIN    | Australia      | bank_loans_gdp     | -0.130256949*   | 0.069368078 | -1.877765000 | 0.060413320 | 43   | 2       |
| FIN    | Australia      | mcap_gdp           | 0.052057274**   | 0.024475392 | 2.126923039  | 0.033426478 | 43   | 2       |
| FIN    | Canada         | liquid_liabilities | 0.134956263     | 0.203422673 | 0.663427835  | 0.507056584 | 43   | 2       |
| FIN    | Canada         | bank_loans_gdp     | -0.165709943    | 0.160889474 | -1.029961371 | 0.303028140 | 43   | 2       |
| FIN    | Canada         | mcap_gdp           | 0.012852983     | 0.016869769 | 0.761894444  | 0.446123006 | 43   | 2       |
| FIN    | Denmark        | liquid_liabilities | 0.165852289     | 0.121731026 | 1.362448787  | 0.173056296 | 43   | 2       |
| FIN    | Denmark        | bank_loans_gdp     | -0.122985845*** | 0.024000115 | -5.124385628 | 2.99e-07    | 43   | 2       |
| FIN    | Denmark        | mcap_gdp           | 0.018977302     | 0.022457794 | 0.845020770  | 0.398099243 | 43   | 2       |
| FIN    | Germany        | liquid_liabilities | -0.292343105*** | 0.109495433 | -2.669911406 | 0.007587126 | 43   | 2       |
| FIN    | Germany        | bank_loans_gdp     | -0.057479576    | 0.068955130 | -0.833579407 | 0.404518034 | 43   | 2       |
| FIN    | Germany        | mcap_gdp           | 0.086768265**   | 0.039988204 | 2.169846543  | 0.030018473 | 43   | 2       |
| FIN    | Norway         | liquid_liabilities | 0.214434500     | 0.232498081 | 0.922306534  | 0.356368707 | 43   | 2       |
| FIN    | Norway         | bank_loans_gdp     | -0.324981158*** | 0.102536896 | -3.169407004 | 0.001527503 | 43   | 2       |
| FIN    | Norway         | mcap_gdp           | 0.096950593**   | 0.046726539 | 2.074850705  | 0.038000374 | 43   | 2       |
| FIN    | Sweden         | liquid_liabilities | -0.162966835**  | 0.082596812 | -1.973040271 | 0.048490974 | 43   | 2       |
| FIN    | Sweden         | bank_loans_gdp     | -0.046975189    | 0.039192630 | -1.198572003 | 0.230694410 | 43   | 2       |
| FIN    | Sweden         | mcap_gdp           | 0.051455803***  | 0.014907567 | 3.451656612  | 0.000557156 | 43   | 2       |
| FIN    | Switzerland    | liquid_liabilities | -0.217769326*** | 0.076966269 | -2.829412541 | 0.004663354 | 43   | 2       |
| FIN    | Switzerland    | bank_loans_gdp     | 0.209705435**   | 0.105013608 | 1.996935821  | 0.045832155 | 43   | 2       |
| FIN    | Switzerland    | mcap_gdp           | 0.026962287***  | 0.008342878 | 3.231772970  | 0.001230248 | 43   | 2       |
| FIN    | United Kingdom | liquid_liabilities | -0.159964289**  | 0.072283598 | -2.213009500 | 0.026896991 | 43   | 2       |
| FIN    | United Kingdom | bank_loans_gdp     | -0.015603309    | 0.068070410 | -0.229223075 | 0.818695539 | 43   | 2       |
| FIN    | United Kingdom | mcap_gdp           | 0.039865091***  | 0.015359080 | 2.595538982  | 0.009444269 | 43   | 2       |
| FIN    | United States  | liquid_liabilities | -0.148900635*   | 0.083706209 | -1.778848154 | 0.075264660 | 43   | 2       |
| FIN    | United States  | bank_loans_gdp     | 0.149358699     | 0.127874700 | 1.168008206  | 0.242803455 | 43   | 2       |
| FIN    | United States  | mcap_gdp           | 0.040465289**   | 0.017684558 | 2.288170809  | 0.022127576 | 43   | 2       |

Notes: HAC (Newey–West) standard errors with 2 lags. Significance: \*\*\*  $p < 0.01$ , \*\*  $p < 0.05$ , \*  $p < 0.10$ .